

Block**2****STAKEHOLDERS OF DEVELOPMENT PLANNING**

UNIT 5**Role of Public Sectors in Development**

UNIT 6**Role of Private Sectors in Development**

UNIT 7**Development Agencies**

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UNIT 5 **ROLE OF PUBLIC SECTOR IN DEVELOPMENT**

Structure

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5.0 **INTRODUCTION**

The public sector is that sector which is controlled by national, state or provincial, and local governments. In the United States, the public sector encompasses universal, critical services such as national defense, homeland security, police protection, fire fighting, urban planning, corrections, taxation, and various social programs. In India, it consists of defense, police, taxation, railways, roads and bridges, postal services. The Industrial policy resolution- 1956 classified industries into three categories. The first category comprises of industries included in schedule of the resolution and to remain exclusively under the domain of the government. These included *inter alia*, railways, air transport, arms and ammunition, iron and steel and atomic energy. The spectrum of public sector covers a wide range of industries and products such as steel, coal, copper, zinc, drugs fertilizer, consumer goods like food production, packaged goods, clothing, automobiles and electronics.

5.1 **LEARNING OUTCOMES**

After studying this unit you should be able to:

- explain the concept, need and significance of public sector;
- examine the role of Public Sector;
- discuss the contribution of Public sector to development;
- list out the problems of public sector in India;
- describe the measures to improve the performance of the public sector; and
- discuss the decline in the role of the state and emergence of free market.

5.2 PUBLIC SECTOR: CONCEPT AND SIGNIFICANCE

Meaning of Public Sector

The Public Sector is referred to as the state sector. It is a part of the state that deals with either production, delivery and allocation of goods and services by and for the government (or for its citizens), whether national, regional or local/municipal. Examples of public sector activities ranges from delivering social security, administering urban planning and organising national defenses, etc.. The part of the economy concerned with providing basic government services. The composition of the public sector varies by country, but in most countries the public sector includes such services as the police, military, public roads, public transit, primary education and healthcare for the poor. The public sector might provide services that non-payer cannot be excluded from (such as street lighting), services which benefit all of society rather than just the individual who uses the service (such as public education), and services that encourage equal opportunity.

In 1991, when the government decided to shift to a liberalised economy with greater reliance upon market forces, a larger role for the private sector was envisaged. Since then the policy thrust has been on reforms such as reduction in the scope of industrial licensing, reforms in the Monopolies and Restrictive Trade Practices (MRTP) Act, reduction of areas reserved exclusively for public sector, disinvestment of equity of selected public sector enterprises (PSEs).

Central Public Sector Enterprises (CPSEs) were classified into two categories - strategic and non-strategic. Strategic CPSEs were identified in the areas of:

- Arms & Ammunition and the allied items of defense equipments, defense air-crafts and warships.
- Atomic Energy (except in the areas related to the operation of nuclear power and applications of radiation and radio-isotopes to agriculture, medicine and non-strategic industries).
- Railway transport

All other public sector enterprises were considered as non-strategic. Industrial licensing by the Central Government has been almost abolished except for a few hazardous and environmentally sensitive industries.

The industries reserved for the public sector and where private companies cannot enter are:

- Atomic energy.
- The substances specified in the scheduled to the notification of the Government of India in the Department of Atomic Energy number S.O.212(E), dated the 15th March, 1995.
- Railway transport.

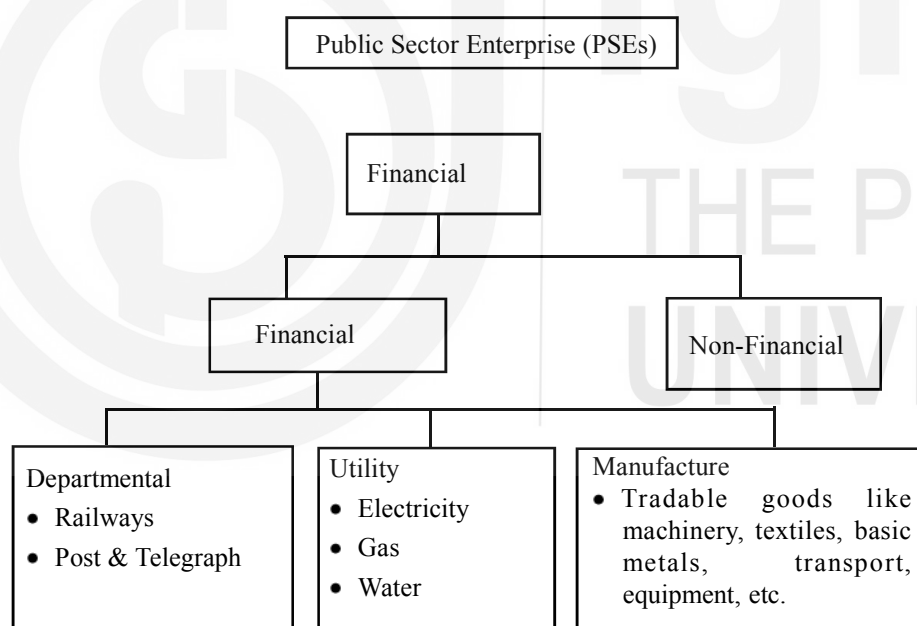
In India, public-sector undertaking (PSU) is a term used for a government-owned corporation (company in the public sector). The term is used to refer to companies in which the government (either the Union Government or state or territorial governments, or both) owned a majority (51 percent or more) of the company

equity. GOCs can be fully owned or partially owned by Government. As a definitional issue, it is difficult to determine categorically what level of state ownership would qualify an entity to be considered as “state-owned”, since governments can also own regular stock, without implying any special interference. They are mainly in the sectors of defense and power. These include inter alia:

- Balmer Lawrie
- Mazagon Dock Limited
- National Thermal Power Corporation
- Hindustan Aeronautics Limited
- Bharat Electronics Limited
- Hindustan Machine Tools and many other like:

SAIL, BHEL, LIC, ONGC, SBI, UTI, Oil India, GIC, Shipping Corp. DTC, FCI, Fertilizer Corp, Coal India Ltd, Cotton Corp. Cement Corp, BSNL, Airport Authority, Heavy Engg. Corp. NALCO, HPCL, Hindustan Paper, Hindustan Copper, National Jute Corp, Hindustan Cables, IREDA, NIC, National Seed Corp. The grouping of Public Sector enterprises is given in the following chart below.

Public Sector Enterprises in India



Source: J. Flexi Raj, *Indian Economy, Economic Ideas, Development and Financial Reforms*, Deep and Deep Publications, New Delhi-2008.

5.3 NEED OF THE PUBLIC SECTOR

The scope of the public sector and state sector are often the biggest distinction regarding the economic positions of socialist, liberal and libertarian political philosophy. In general, socialists favor a large state sector consisting of state projects and enterprises, at least in the *commanding heights* or fundamental sectors of the economy. Social democrats tend to favor a medium-sized public sector that is limited to the provision of universal programs and public services. Economic libertarians and monarchists favor a small public sector with the state

being relegated to protecting property rights, creating and enforcing laws and settling disputes, a “night watchman state”.

Public sector has played an important role in the industrial development of India. Before independence there were a few public sector enterprises in India such as Railways, the Posts and Telegraphs, the Port Trusts, the Ordinance Factories, and All India Radio etc. In the early years of independence, capital was scarce and the entrepreneurial resource was not strong enough. Therefore, the 1956 Industrial Policy Resolution gave primacy to the role of the State which was directly responsible for industrial development. The public sector provided the required thrust to the economy and developed and nurtured the human resources. During this era public sector enterprises came to be known as the commanding heights of the Indian economy. According to Prof. Tendulkar, the distinct reference for the public sector in this strategy can be traced to the following reasons.

First, the concentration of economic power that would result from the uncontrolled operation of the market forces can be reduced through the extension in the public ownership of means of production.

Secondly, private investors may demand a higher risk premium for investment in certain industries than would be socially justified. Offshore drilling of oil is one example in this connection.

Thirdly, the scale of investment efforts in certain heavy industries may be beyond the capital-raising capacity of the private sector e.g., steel mills, heavy electrical machinery.

Fourthly, the public sector, through the appropriate price policy for its output will generate investible surpluses for further investment in the economy.

Fifthly, by production as well as distribution of certain universal intermediate inputs like coal, steel, electricity, etc., the State will be able to control the composition of private economic activity in a socially desirable direction.

Finally, the public sector would assume the role of a model employer and its employment and wage policies would have a moderating influence on the corresponding policies in the private sector.

Analysing these reasons, one finds that public sector was expected to fulfill varied and sometimes conflicting objectives. The generation of investible surplus was bound to conflict with subsidies involved in keeping the prices of certain universal intermediates at low levels as well as the public sector’s role as model employer.

5.4 CONTRIBUTION OF PUBLIC SECTOR TO DEVELOPMENT

The public sector has been playing a vital role in the economic development of the country. In fact the public sector has come to occupy such an important place in our economy that on its effective performance depends largely on the achievement of the country’s economic and social goals. Public sector is considered a powerful engine of economic development and an important instrument of self-reliance. The main contributions of public enterprises to the country’s economy may be described as follows:

i) Strong Industrial Base

Public sector has significantly contributed to the GDP at factor cost. The share of industrial sector (comprising of manufacturing, construction, electricity, gas, water supply has steadily increased during the planning decades. The government has strengthened the industrial base considerably by placing due emphasis on setting up of industries like iron and steel, heavy engineering, coal, heavy electrical machinery, petroleum, chemical, natural gas, chemicals, drugs fertilizers etc. Because of low profitability potential, these industries do not find favour with private entrepreneurs in India. The total investment by public sector has increased from 29 crores to 1171844 crores after independence as illustrated in the table-1.

Table 5.1: Investment in PSUs

Year	No of Units	Total Investment(Rs Crores)
1951	5	29
1961	47	950
1980	179	18,150
1990	244	99,330
2001	242	274,198
2004	242	349,209
2015-2016	244	1171844

Source: Government of India, Public Enterprise Survey, 2015

Table 5.2

Year	No. of Operating Enterprises
2004-05	227
2005-06	226
2006-07	217
2007-08	214
2008-09	213
2009-10	217
2010-11	220
2011-12	225
2012-13	230
2013-14	234
2015-2016	244

Source: Public Enterprises Survey 2015-16, Vol. 1

ii) Capital Formation

The public sector fosters a powerful process of capital formation. It can collect the savings and make them investment in the productive channels. It is evident from Indian case. During two decades of our planning about 54% of total investment of India was done by the public sector. Rest was done by the private

sector. Of course now the share of investment of public sector is falling after liberalisation. It has become now about 30% in the ninth plan. The nationalised bank, SBI, IDBI, Industrial finance corporation, State Finance Corporation, LIC, UTI, etc have played an important role in collecting savings and mobilization of resources. Yet the share of public sector in gross domestic capital formation (GDCF) has remained very significant.

iii) Development of Infrastructure

The infrastructure is the backbone of an economy. The public sector plays the vital role in the process of infrastructural development. The public authority adopts the strategy to make sufficient expansion of irrigation facilities and power and energy, without which agricultural development is not possible. Without road, railways, and electricity no industrial development can be thought of. Public sector has developed the road, rail, air and sea transport system. The expansion has become manifold only due to the public sector. The public sector does not contribute much to the infrastructural development of the country.

iv) Fillings of Gaps

At the time of independence, there existed serious gaps in the industrial structure of the country, particularly in the fields of heavy industries such as steel heavy, machine tools, exploration and refining of oil, heavy Electrical and equipment, chemicals and fertilizers, defense equipment, etc. Public sector has helped to fill up these gaps. The basic infrastructure required for rapid industrialisation has been built up, through the production of strategic capital goods. The public sector has considerably widened the industrial base of the country. The table-3 below shows the performance of central public sector enterprises in India.

Table 5.3: Performance of Central Public sector Enterprises

	1999	2005	2008	2015-16
Running enterprises	232	226	214	244
Capital employed	302,947	585,484	763,127	1938795
Turnover	389,199	837,295	1081,925	1854667

Source: Misra and Puri (2009) *Indian Economy*, Himalaya Pub. Mumbai and Public Enterprises Survey 2015-16, Vol. 1

v) Employment

As on 31.3.2016, the 320 CPSEs employed over 12.34 lakh people (excluding contract workers). Around 30% of the manpower of CPSEs belongs to managerial and supervisory cadres. Total number of employees in CPSEs is declining every year since 2006-07 except during 2011-12, on other hand per capita emoluments has been increasing. The per capita emolument was 3, 25,869 per annum in 2006-07 and has increased to 10, 39,732 per annum in year 2015-16. The details of employment in CPSEs and per capita emoluments are shown in Table 4.

Table 5.4: Public and Private Sector Employment (in Lakhs) in India

Year	Employees (in lakh) (Excluding contract workers)	Total Emoluments (Rs. in crore)	Percapita Emoluments
2006-2007	16.14	52586	325869
2007-2008	15.65	64306	410898
2008-2009	15.33	83045	541716
2009-2010	14.90	87792	589210
2010-2011	14.40	98402	683347
2011-2012	14.50	105648	728606
2012-2013	14.02	116363	830263
2013-2014	13.49	122322	906665
2014-2015	12.91	127387	986598
2015-2016	12.34	128263	1039732

Source: Public Enterprises Survey 2015-16, Vol. 1

vi) Balanced Regional Development

Public sector undertakings have located their plants in backward and untrodden parts of the country. These areas lacked basic industrial and civic facilities like electricity, water supply, township and manpower. Public enterprises have developed these facilities thereby bringing about complete transformation in the socioeconomic life of the people in these regions. Steel plants of Bhilai, Rourkela and Durgapur; fertilizer factory at Sindri, Machine Tool plants in Rajasthan, Precision Instruments plants in Kerala and Rajasthan, etc. are a few examples of the development of backward regions by the public sector.

vii) Contribution to Public Exchequer

In recent years, the public sector has made increasing contributions to the public sector in the form of dividend, corporate taxes, excise and customs duty, etc. Due to increase in contribution of all the components to Central Exchequer, the total contribution of CPSEs to the Central Exchequer during the year 2015-16, has increased from 2,00,593 crore in 2014-15 to 2,78,075 crore in 2015-16 showing an increase of 38.63%.

Table 5.5: Contributions of Public Enterprises to Central Exchequer

Plan	Total Contribution	Average
Sixth Plan(1980-85)	27,570	5510
Seventh(1985-90)	69,410	13,880
Eighth Plan(1992-97)	133,780	26,760
Ninth Plan(1997-2002)	269,110	53,822
2002-2004	170,891	85,445
Twelve Plan (2012-2017)	278075	

Source: Government of India, Public Enterprise Survey, 2003-04

i) Foreign Exchange Earnings

Public sector has contributed a great deal in improving the balance of payments position of the country. The public enterprises have saved valuable foreign exchange through import substitution. Hindustan Steel Ltd., the Bharat Electronics Ltd., the Hindustan Machine Tools, etc are exporting a large percentage of their output and earning foreign exchange.

ii) Development of Ancillary industries

In order to encourage the development of small scale and medium-sized industries in the country, the Government of India has launched a national programme. Public sector has contributed to this programme by fostering the growth of ancillary industries and satellite plants. Such plants have been established around the major public sector undertakings. There is a strong base of ancillary industries at several centers such as the Bokaro Industrial Complex, the Bhilai Steel Plant, The Rourkela Steel Complex, the Heavy Engineering Corporation at Ranchi, Hindustan Machine Tools at Bangalore, and the units of Bharat Heavy Electrical at Bhopal, Hyderabad and Hardwar.

iii) Research and Development

As most of the public enterprises are engaged in high technology and heavy industries, they have undertaken research and development programmes in a big way. Public sector has laid strong and wide base for self-reliance in the field of technical know-how, maintenance and repair of sophisticated industrial plants, machinery and equipment in the country. Through the development of technological skill, public enterprises have reduced dependence on foreign knowhow. With the help of the technological capability, public sector undertakings have successfully competed in the international market and they have secured turnkey projects in several countries of the world.

iv) Community Development

Several public sector undertakings have developed townships to provide all the civic amenities to their employees. These townships consist of houses, etc. Public enterprises have constructed roads and other infrastructural facility to link these townships to other parts of the country. Such townships have been very helpful in improving community life.

v) Social Justice

Public enterprises have contributed towards the achievement of constitutional objectives. They have been helpful in reducing the concentration of economic power in private hands, in curbing anti-social monopolies, in accelerating public control over the national economy and in bringing about a socialistic pattern of society. Public sector helps in ensuing inclusive process of development.

In addition to the foregoing, the public sector has played an important role in the achievement of constitutional goals like reducing concentration of economic power in private hands, increasing public control over the national economy, creating a socialistic pattern of society, etc. With all its linkages the public sector has made solid contributions to national self-reliance.

Check Your Progress 1

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1) Define public sector and examine its features.

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2) Give the list of industries reserved for the public sector in India.

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3) How does public sector contribute to Central Exchequer?

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4) Explain how investment under public sector has expanded.

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5.5 PROBLEMS OF PUBLIC SECTOR

Despite their impressive role, Public enterprises in India suffer from several problems and shortcomings. Some of these are described below:

- i) **Poor Project Planning:** Investment decisions in many public enterprises not based upon proper evaluation of demand and supply, cost benefit analysis and technical feasibility. Lack of a precise criterion and flaws in planning have caused undue delays and inflated costs in the commissioning of projects. Sometimes, projects are launched without clear-cut objectives and serious

thought. Many projects in the public sector have not been finished according to the time schedule. Barauni Refinery was commissioned two years behind schedule and the Tromby fertilizer plant was delayed by three years thereby causing an increase of Rs. 13 crores in the original cost estimates.

- ii) **Over-capitalisation:** Due to inefficient financial planning, lack of effective financial control and easy availability of money from the government, several public enterprises suffer from over-capitalisation. The Administrative Reforms Commission found that Hindustan Aeronautics, Heavy Engineering Corporation and Indian Drugs and Pharmaceuticals Ltd. Were over-capitalised. Such over-capitalisation resulted in high capital-output ratio and wastage of scarce capital resources.
- iii) **Excessive Overheads:** Public enterprises incur heavy expenditure on social overheads like townships, schools, hospitals, etc. In many cases such establishment expenditure amounted to 10 percent of the total project cost. Recurring expenditure is required for the maintenance of such overhead and welfare facilities. Hindustan Steel alone incurred an outlay of Rs. 78.2 crore on townships. Such amenities may be desirable but the expenditure on them should not be unreasonably high.
- iv) **Overstaffing:** Manpower planning is not effective due to which several public enterprises like Bhilai Steel have excess manpower. Recruitment is not based on sound labour projections. On the other hand, posts of Chief Executives remain unfilled for years despite the availability of required personnel. As many as 26 public sector units were topless on January 1, 1987.
- v) **Under-utilisation of Capacity:** One serious problem of the public sector has been low utilisation of installed capacity. In the absence of definite targets of production, effective production planning and control, proper assessment of future needs, adequate supply of power and industrial peace, many industrial peace, many undertakings have failed to make full use of their fixed assets. Under utilisation of Installed capacity is another reason for low level of profitability in public sector enterprises. The average capacity utilisation in more than 50 per cent of the public enterprises has been less than 75 per cent.

Capacity Utilisation

Capacity utilisation in these reports has been measured based on the installed/rated capacity. Wherever installed/rated capacity is not available for various reasons, the assessment of the management vis-à-vis capacity utilisation in the enterprises has been accepted. In the case of multiple product units, capacity utilisation has been worked out with reference to major products. The detailed enterprises-wise statement, indicating the unit-wise capacity utilisation for major products during the last three years is given in the section. The table above discusses enterprise-wise rated capacity and extent of utilisation of some of the CPSEs under the various cognate groups.

- vi) **Lack of a Proper Price Policy:** There is no clear cut price policy for public enterprises and the Government has not laid down guidelines for the rate of return to be earned by different undertakings. Public enterprises are expected to achieve various socioeconomic objectives and in the absence of a clear directive, pricing decisions are not always based on rational analysis. In

addition to dogmatic price policy, there is lack of cost-consciousness, quality consciousness, and effective control on waste and efficiency.

vii) Inefficient Management: The management of public enterprises in our country leaves much to be desired. Managerial efficiency and effectiveness have been low due to inept management, uninspiring leadership, too much centralisation, frequent transfers and lack of personal stake. Civil servants who are deputed to manage the enterprises often lack proper training and use bureaucratic practices. Political interference in day-to-day affairs, rigid bureaucratic control and ineffective delegation of authority hamper initiative, flexibility and quick decisions. Motivations and morale of both executives and workers are low due to the lack of appropriate incentives.

viii) Unsatisfactory industrial Relations: In several public enterprises relations between management and labour are far from cordial. There has been serious and frequent labour trouble in Durgapur Steel Plant, Bharat Heavy Electricals, Bhopal, and in Bangalore-based undertakings. Millions of mandays and output worth crores of rupees have been lost due to strikes and gheraos. Wage disparities have been the main cause of labour trouble in the public sector. The percentage increase in the per cent emoluments of public sector employees had been higher than the percentage increase in consumer price index.

ix) Lack of Coordination: Various public enterprises are dependent on one another as the output of one enterprise is the input of another. For instance, the efficient functioning of power and steel plants depends on the production and transportation of coal which in turn is dependent upon supplies of heavy equipment machinery. Despite such interdependence, materials management and research has not been achieved. Coordination in the production programmes of different enterprises at various stages would help to reduce excess stocks and shortages of vital inputs.

To sum up, the public sector of India encounters the following problems:

- 1) Inefficient Management
- 2) Faulty Controls
- 3) Excess Manpower
- 4) Capacity underutilisation
- 5) Over capitalisation
- 6) Price Policy
- 7) Delay in Project completion
- 8) Mounting Losses
- 9) Political Factors

5.6 MEASURES TO IMPROVE PERFORMANCE OF THE PUBLIC SECTOR

Public Sector Policy

The measures to strengthen public sector were spelled out in industrial policy resolution, 1991. The industrial policy, 1991 which envisages steps for strengthening public sector in India is narrated below.

The public sector has been central to our philosophy of development. In the pursuit of our development objectives, public ownership and control in critical sector of the economy has played an important role in preventing the concentration of economic power, reducing regional disparities and ensuring that planned development serves the common good.

The Industrial Policy Resolution of 1956 gave the public sector a strategic role in the economy. Massive investments have been made over the past four decades to build a public sector which has a commanding role in the economy. Today key sectors of the economy are dominated by mature public enterprises that have successfully expanded production, opened up new areas of technology and built up a reserve of technical competence in a number of areas.

After the initial exuberance of the public sector entering new areas of industrial and technical competence, a number of problems have begun to manifest themselves in many of the public enterprises. Serious problems are observed in the insufficient growth in productivity, poor project management, over-manning, lack of continuous technological up gradation, and inadequate attention to R&D and human resource development. In addition, public enterprises have shown a very low rate of return on the capital invested. This has inhibited their ability to re-generate themselves in terms of new investments as well as in technology development. The result is that many of the public enterprises have become a burden rather than being an asset to the Government. The original concept of the public sector has also undergone considerable dilution. The most striking example is the takeover of sick units from the private sector. This category of public sector units accounts for almost one third of the total losses of central public enterprises. Another category of public enterprises, which does not fit into the original idea of the public sector being at the commanding heights of the economy, is the plethora of public enterprises which are in the consumer goods and services sectors.

It is time therefore that the Government adopt a new approach to public enterprises. There must be a greater commitment to the support of public enterprises which are essential for the operation of the industrial economy. Measures must be taken to make these enterprises more growth oriented and technically dynamic. Units which may be faltering at present but are potentially viable must be restructured and given a new lease of life. The priority areas for growth of public enterprises in the future will be the following.

- Essential infrastructure goods and services.
- Exploration and exploitation of oil and mineral resources.
- Technology development and building of manufacturing capabilities in areas which are crucial in the long term development of the economy and where private sector investment is inadequate.
- Manufacture of products where strategic considerations predominate such as defense equipment.

At the same time the public sector will not be barred from entering areas not specifically reserved for it.

In view of these considerations, Government will review the existing portfolio of public investments with greater realism. This review will be in respect of

industries based on low technology, small scale and non-strategic areas, inefficient and unproductive areas, areas with low or nil social considerations or public purpose, and areas where the private sector has developed sufficient expertise and resources.

Government will strengthen those public enterprises which fall in the reserved areas of operation or are in high priority areas or are generating good or reasonable profits. Such enterprises will be provided a much greater degree of management autonomy through the system of memoranda of understanding. Competition will also be induced in these areas by inviting private sector participation. In the case of selected enterprises, part of Government holdings in the equity share capital of these enterprises will be disinvested in order to provide further market discipline to the performance of public enterprises. There are a large number of chronically sick public enterprises incurring heavy losses, operating in a competitive market and serve little or no public purpose. These need to be attended to. The country must be proud of the public sector that it owns and it must operate in the public interest.

Steps to Strengthen Public Sector

- Portfolio of public sector investments will be reviewed with a view to focus the public sector on strategic, high-tech and essential infrastructure. Whereas some reservation for the public sector is being retained there would be no bar for areas of exclusivity to be opened up to the private sector selectively. Similarly the public sector will also be allowed entry in areas not reserved for it.
- Public enterprises which are chronically sick and which are unlikely to be turned around will, for the formulation of revival/rehabilitation schemes, be referred to the Board for Industrial and Financial Reconstruction (BIFR), or other similar high level institutions created for the purpose. A social security mechanism will be created to protect the interests of workers likely to be affected by such rehabilitation packages.
- In order to raise resources and encourage wider public participation, a part of the government's shareholding in the public sector would be offered to mutual funds, financial institutions, general public and workers.
- Boards of public sector companies would be made more professional and given greater powers.
- There will be a greater thrust on performance improvement through the Memoranda of understanding (MOU) systems through which managements would be granted greater autonomy and will be held accountable. Technical expertise on the part of the Government would be upgraded to make the MOU negotiations and implementation more effective.
- To facilitate a fuller discussion on performance, the MOU signed between Government and the public enterprise would be placed in Parliament. While focusing on major management issues, this would also help place matters on day to day operations of public enterprises in their correct perspective.

5.7 DECLINE OF STATE ROLE AND EMERGENCE OF FREE MARKET

After adopting the policy of open market, Government of India dismantled its development strategies and very enthusiastically overhauled its entire economic system with denationalisation, delicensing, devaluation, and disinvestment. Now the pendulum of economic growth in India is swinging from over commitment of public sector to over enthusiasm of the private sector. Policy of open market has now become the global phenomenon. This model has very substantial core of truth, which spreads the message of over optimism of instant change. It essentially relates to the external sector and modern industrial-urban sector. This policy advocates for Liberalisation, Privatisation and Globalisation (LPG) of the economy. This worldwide movement owes its origin to several factors: (1) the external debt crisis (2) excessive fiscal profligacy and unmanageable foreign exchange deficit, (3) disenchantment with the system of central planning, corruption and inefficiency, (4) rise of Reaganism and Thatcherism, (5) The collapse of socialist regimes in Eastern Europe and (6) spectacular growth of East and southeast Asian countries

And Indian economy has the experience of two decades in this development paradigm.

Table 5.6: Annual growth rate of National Income and Per Capita Income

Plan	National Income %	Per-Capita Income%
First	3.6	1.8
Second	4.1	2
Third	2.5	0.2
Fourth	3.3	1
Fifth	5	2.7
Sixth	5.4	3.2
Seventh	5.8	3.6
Eighth	6.7	4.6
Ninth	5.5	3.5
Tenth	7.8	6.1
Eleventh	7.9	6.5
Twelfth	5	3.7

Source: *Public Enterprises Survey 2015-16, Vol. 1*

The role of public sector has been steadily decreasing in both industrial sector and service sector almost in every country of the world. In India the role of private sector has increased in the service sector like education, health, insurance and banking. The post liberalisation period has marked a distinct upturn of the growth trajectory. The stagnation of the economy seemed to have been over by mid seventies.

Table 6 shows annual growth rate of income from first five year plan (3.6%) to twelfth five year plan (5%)., growth rates have improved and were impressive in comparison to the pre-reforms period. The Per capita income has progressed from 1.8 percent to 3.7 percent.

The agricultural sector that lagged behind is now growing and contributes 15.79 percent of GDP. The growth rate in the industrial sector and service sector has become very impressive. The table 7 shows that the share of agriculture in GDP has increased from 2011 to 2014 from 14.37% to 15.79 %. Whereas the share of industry is 24.77 percent of the GDP while service sector contributes 59.93 percent for the same.

Table 5.7: Contributions to GDP Growth in India

Sectors	Contribution to GDP growth (%)		Share in Real GDP (%)
	2011-12	2013-14	
Agriculture	14.37	15.79	6.1
Industry	26.13	24.77	29.02
Services	54.91	59.93	53.66

Source: Government of India, Public Enterprise Survey, 2015-16

Liberalisation regime has provoked widespread restructuring and consolidation of Indian Industry. The private sector is vigorously restructuring itself to correct past inefficiencies of pre reforms era and promote competitiveness.

But unfortunately a large part of the economy particularly the agricultural sector still remains unorganised and backward. This vast unorganised sector cannot be integrated automatically with the mainstream of market-led economy. The problems and constraints associated with the agricultural sector have not improved under the new reforms regime. The root of this incompatibility lies in the growing urban bias and rural neglect.

Check Your Progress 2

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1) Explain how over capitalisation has affected the public sector.

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2) How public sector suffers from poor project planning?

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- 3) What are the shares of agriculture and industry in the GDP?

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- 4) Discuss how service sector is growing rapidly under free market regime.

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5.8 LET US SUM UP

In this unit we dealt with the definition and significance of public sector in the process of economic development. We examined the role and performance of public sector in India. We analysed the significance of public sector units in industrial sector and service sector. We analysed the problems and constraints of public enterprises of India. We also analysed the declining trend of public sector due to the emergence of free market in India.

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5.10 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress 1

Answer 1: Public Sector is referred to as the state sector. It is a part of the state that deals with either the production, delivery and allocation of goods and services

.Public sector activity ranges from delivering social security, administering urban planning and organising national defenses. The composition of the public sector varies by country, but in most countries the public sector includes such services as the police, military, public roads, public transit, primary education and healthcare for the poor.

Answer 2: The List of industries reserved for the public sector in India is as follows Atomic energy. The substances specified in the scheduled to the notification of the Government of India Railway transport.

Answer3: The public sector in India contributes to Central Exchequer very significantly. Public sector has made increasing contributions to the public sector in the form of dividend, corporate taxes, excise and customs duty, etc. The total contribution from the public enterprises to the Exchequer increased from Rs. 11,074 crores in 1982-83 to Rs. 23, 972 crores in 1986-87.

Answer4: The share of industrial sector (comprising of manufacturing, construction, electricity, gas, water supply has steadily increased during the planning decades. The government has strengthened the industrial base considerably by placing due emphasis on setting up of industries like iron and steel, heavy engineering, coal, heavy electrical machinery, petroleum, chemical, natural gas, chemicals, drugs fertilizers etc. Because of low profitability potential, theses industries do not find favour with private entrepreneurs in India. The total investment by public sector has increased from 29 crores to 349209 crores after independence.

Check Your Progress 2

Answer 1: The over capitalisation has really affected the public sector of India. The Administrative Reforms Commission found that Hindustan Aeronautics, Heavy Engineering Corporation and Indian Drugs and Pharmaceuticals Ltd. Were over-capitalised. Such over-capitalisation resulted in high capital-output ratio and wastage of scare capital resources.

Answer 2: The public sector suffer from poor project planning investment decisions in many public enterprises are not based upon proper evaluation of demand and supply, cost benefit analysis and technical feasibility. Lack of a precise criterion and flaws in planning have caused undue delays and inflated costs in the commissioning of projects. Many projects in the public sector have not been finished according to the time schedule.

Answer 3: The post liberalisation period has marked a distinct upturn of the growth trajectory. The stagnation of the economy seemed to have been over by mid seventies. The share of agriculture in GDP has been steadily decreasing after economic reforms. It has decreased from 28% to 19% from 1994 to 2004. Whereas the share of industry has remained at the same level of 26% of GDP of India.

Answer 4: The growth rate of Indian economy has improved very impressively in comparison to the pre-reforms period. The service sector's growth is 7.5 during that period. The private corporate sector in India has responded favourably to economic reforms with large investments. The overall post reforms growth rate of output has been robust at an average of 6.8 percent. The share of service sector in the GDP has significantly increased to about 55% during last decade.

UNIT 6 **ROLE OF PRIVATE SECTORS IN DEVELOPMENT**

Structure

- 6.0 Introduction
- 6.1 Learning Outcomes
- 6.2 Private Sector: Concept and Significance
- 6.3 Corporate Sector and Foreign Director Investment
- 6.4 Role of Private Sector in Development
- 6.5 Problems of Private Sector
- 6.6 Corporate Governance
- 6.7 Corporate Social Responsibility
 - 6.7.1 Advantages of CSR
- 6.8 Public-Private Partnership
- 6.9 Let Us Sum Up
- 6.10 References and Further Readings
- 6.11 Check Your Progress: Possible Answers

6.0 INTRODUCTION

In economics, the private sector is that part of the economy which is run by private individuals or groups, usually as a means of enterprise for profit, and is not controlled by the state. By contrast, enterprises that are part of the state are part of the public sector and non-profit organisations are regarded as part of the voluntary sector. A variety of legal structures exist for private sector business organisations, depending on the jurisdiction in which they have their legal domicile.

Private sector enterprises are characterised by ownership and management in the hands of private individuals and are guided by personal initiatives and profit motive.

Private Sector Development is a strategy for promoting economic growth and reducing poverty in developing countries by building private enterprises, membership organisations representing them, and competitive markets that are stronger and more inclusive.

6.1 LEARNING OUTCOMES

After studying this unit you should be able to:

- explain private sector in policy framework;
- examine significance of corporate sector in India;
- point out the contribution of FDI to economic growth;
- explain the role of private sector in development;
- explain the problems of private sector;

- define corporate governance; and
- describe corporate social responsibility and public-private partnership.

6.2 PRIVATE SECTOR: CONCEPT AND SIGNIFICANCE

India has a mixed economy in which both private sector and public sector are allowed to operate. In 1948 industrial resolution divided the industries into three categories: i) Three industries in which state was given exclusive monopoly ii) six industries, where the state has the exclusive right to setup new units but the existing private units were allowed to operate, iii) eighteen industries where regulations and direction are necessary and iv) all other industries not included in the above three categories, where private sector was allowed the freedom to operate. The 1956 industrial policy divided all industries into three categories.

i) seventeen industries (schedule –A) whose future development was to be the exclusive responsibility of the state ii) twelve industries (schedule B) where the state would increasingly establish new units but the private sector would not be denied to set up their units. iii) all other industries (not listed in schedule A or B) where the private sector was given full freedom to operate. However the private sector had to operate with the provisions of industries Act, 1951 and other relevant legislations of the government. The 1956 industrial policy stated that, “industrial undertakings in the private sector have necessarily to fit into the framework of the social and economic policy of the state and will be subject to the control and regulations in terms of the industries development and regulation Act and other relevant legislations. The government of India has duly emphasised the mutual coexistence and mutual dependence and cooperation of private and public sector. Therefore private sector had the space to expand its business activities. It took full advantages of the loopholes and exceptions in the legislations. Its elbow room allowed by 1956 policy expanded in different business activities, even in areas exclusively reserved for the state sector. The working of the industries development and regulation acts was full of flaws as the licensing committee worked in a very haphazard and ad hoc manner. The “licensing raj” was adverse for industrial development. Therefore new industrial policy of 1991 abolished the licensing system and ushered in new era liberalization, where the role of the public sector was diluted.

Doors of foreign investment considerably opened and numerous incentives and initiatives granted to the private sector to expand its business activities. The 1991 policy was welcomed with unbridled enthusiasm by the private sector. It encouraged the private units with lower tax, less red-tapism, less government interference. It created more space for the private sector. It opened the doors to multinational companies and raised the competition from abroad as tariffs were reduced substantially. Many domestic producers suffered from shrinking market share due to their low quality and price. The corporate world expanded significantly. Many new entrants got the space in the market.

The private sector plays the following dominant role in Indian economy

- It has an extensive modern industrial sector
- It has become the powerful driver of development
- It has led to the growth of Small scale industries

- It has huge employment and investment potential
- It plays significant role in health and education sector

Significance of Corporate Sector in India:

The phenomenal growth of private sector of India can be attributed to political will, financial reforms, usage of more advanced technology, young and large English speaking working class. The 7-8 % of annual GDP growth rate India is the one of the highest growth rate in the world. The last 15 years witnessed a phenomenal rise of the growth of private sector in India. The opening up of Indian economy has led to free inflow of foreign direct investment (FDI) along with modern cutting edge technology, which propelled India's economic growth. Market changed as soon as the markets were opened for investments. This saw the rise of the Indian private companies which prioritised customer's need and speedy service. This further fueled competition amongst same industry players and even in government organisations. Further, the government of India also divested some of its enterprises to ensure smooth operation of these companies which was otherwise were loss making. It also went further and forged joint venture private Indian companies, especially in sectors like, telecommunication, petroleum, housing and infrastructure. This inculcated healthy competition and benefited the end consumers, since the cost of service or products come down substantially.

The private sector companies are decreasing their price bands to remain alive in the competition. Further, the big private Indian companies are offering mouth watering benefits in the form of gifts, rebates and even holding lucky draws to stay ahead in the race of 'market supremacy'. Gone are the days when 'brand loyalty, accounted for big customer base. Today, general Indian customers are trendy, flexible and are extremely flexible with their choice. Steady growth of private sector has sent a sense of urgency and insecurity amongst main market players. Defensive methods of protection of Brands against competitors are becoming popular. Legal instruments like patents, trademarks, industrial designs and copyrights filing has increased many fold and so is counter claim and litigation. Further, Mergers and Acquisitions, collaborations and licensing has become a popular amongst private Indian companies.

The best thing that has happened to the overall Indian market with the growth of private sector is that it has helped to shed bureaucracy and lengthy official process and supplemented it by customer eccentric service, good work ethics, professionalism and transparency of accounts.

Some positive effects of the growth of private sector in India are as follows:

- Manufacturing registered 11.9% growth
- The passenger vehicles sector grew by 11.61% during April-May 2007
- Electricity, gas & water supply performed well and recorded an impressive growth rate of 8.3%
- Construction growth rate rose to 10.7%
- Trade, hotels, transport and communication registered a growth rate of 12%
- Financing, insurance, real estate and business services recorded an impressive growth rate of at 11% during the 1st quarter of this fiscal
- Exports grew by 18.11% during the 1st quarter of 2007-2008 and the imports

shoot up by 34.30% during the same period

- The food sector is estimated to be of US\$ 200 billion and it is expected to grow to \$310 billion by 2015
- Merchandise Exports recorded strong growth

6.3 CORPORATE SECTOR AND FOREIGN DIRECTOR INVESTMENT

After independence the attitude towards foreign capital was one of fear and suspicion. It was due to colonial exploitation of raw materials and draining away of resources from our country. But after 1991, we invited FDI (foreign Direct Investment) was given importance with the following arguments:

1. It makes improvement in balance of payment position of the country
2. It helps in grater harnessing of natural resources and mineral wealth
3. It promotes basic infrastructure for economic development
4. It helps in filling up the technological gap
5. It can sustain a high level of investment with high risk

We have adopted following approaches to attract FDI in India.

- improving domestic infrastructure
- providing targeted fiscal incentives ,(tax concessions, specific subsidies etc)
- promoting local skills development to meet investor needs and expectations;
- establishing broad-reaching FDI promotion agencies
- improving the regulatory environment and decreasing red-tapism
- engaging in international governing arrangements

The FDI has not gone to all sectors of India. The top eight sectors which have attracted FDI in India are as follows:

- a) Automotive components
- b) Financial services (banking and non banking)
- c) Electric Power plants
- d) Coal Washeries
- e) Coal –bed methane explorations and recovery
- f) Telecommunication equipments and service
- g) Hospitality industry
- h) Food processing industry

But the flow of FDI is prohibited by Government of India in the following sectors:

1. Retail Trading
2. Lottery business
3. Gambling and betting
4. Nidhi company

5. Trading in transferable development rights
6. Sector/ activity not opened to private investment.

Table 6.1: Average annual growth rates in India

Period	Growth of NNP	Growth rate of Per capital Income
1951-81	3.4	1.2
1981-96	5.5	3.3
1997-03	5.8	3.9
2004-09	8.8	7.2

Source: Government of India, Economic Survey, different years

The service sector has improved impressively during the 9th and 10th plan. But 11th plan is emphasising more on industry. It aims to achieve 9% growth rate through the strong growth of 10.13% in industrial sector. It is shown in table -3 below.

Table 6.2: Sectoral Growth rates

Plan period	Agriculture	Industry	Services	Total
9 th Plan(1997-01)	2.44	4.29	7.87	5.52
10 th plan(2002- 06)	2.13	8.90	9.28	7.59
11 th Plan(2007-12)	4.0	10.13	9.11	9.0

Source: Planning Commission (2007) Eleventh Five Year Plan (2007-12, Vol.1. 0

The structure of Indian economy has significantly changed after the privatisation movement in India. The dominant of agriculture in terms of its contribution to the national GDP has declined from 35% to 17% from 1984 to 2009. The private entrepreneurs of India are dominating in the service sector, which has become the main driver of economic growth today. But reliance on agriculture still remains far greater than in some other third world countries such as Indonesia, China, Mexico, Brazil and Korea.

Check Your Progress 1

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

- 1) What are the major dominant roles played by the private sector in the Indian Economy?

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2) Mention any five positive effects of the growth of private sector in India?

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3) Name the top eight sectors which have attracted FDI in India?

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6.4 ROLE OF PRIVATE SECTOR IN DEVELOPMENT

Private Sector and Poverty Alleviation

It is argued that private sector by providing employment and producing large scale consumer goods and services helps the economy in poverty reduction. Brainard and La Fleur in their article 'The Private Sector in the Fight Against Global Poverty' highlighted that by generating jobs, serving the underserved, promoting innovation and spurring productivity, indigenous private sector development can raise the living standards and promote opportunities.

Private Sector and Employment

The private sector has supplemented and complemented government endeavour in providing employment and thereby helping in solving the problem of unemployment in the country. Although there are complains of exploitation, yet it has provided livelihood to a large section of unemployed who otherwise could not find a place in public sector. The investment in private sector is growing day by day and so also is the employment.

During 2000-2011, workforce employed in Central Government, State Government, Quasi Government- State and Local Bodies declined by a Compound Annual Growth rate (CAGR) of -2.77%, -0.28%, -2.04% and - 0.96% respectively, whereas workforce employed in Quasi Government- Central, Act Estts. (Private which is Falling within the preview of Act) and Non Act. Estts. (Private which is not falling within the preview of Act) grew by a CAGR of 0.49%, 2.91% and 2.25% respectively. Maximum growth of workforce employed in terms of CAGR was observed for Act Estts. sector (2.91%) and maximum decrement in terms of CAGR was observed for Central Government sector (-2.77%). At the end of financial year 2010-11, a total of 2.8999 Cr work force was employed in the organized sector which includes both public and private sector. While, public sector (Central Government, State Govt, Quasi Government and Local Bodies) had 61% of the total workforce and private sector (Act Estts. and Non Act. Estts.) had 39% of the total workforce employed.

Table 6.5: Employment in Private sector of India (in lakhs)

Year	Private sector	Public sector	Total	% of Private sector
1971	67	111	178	38
1981	74	155	229	32
1991	77	190	267	29
2001	87	191	278	31
2007	93	180	273	35

Source: compiled from Economic Survey of Government of India, different years

Private Sector and Infrastructure

The participation of the private sector of Indian economy is desired by the government of India for infrastructural development including specific sectors like power, development of highways and so on. The contribution of public sector in these sectors has been arrested due to the shift of the attention of the Indian government to issues like population increase, industrial growth. The main reasons behind the low contribution of the private sector in infrastructural development activities are that:

- The small and medium scale companies in the private sector of Indian economy suffer from lack of finances to welcome the idea of extending their business to other states or diversify their product range.
- The private sector of Indian economy also suffer from the absence of appropriate regulatory structure, to guide the private sector and this speaks for its unorganised framework.
- The unorganised framework of the private sector is interrupting the proper management of this sector resulting in the slowdown of its development.

Private Sector and Agriculture

Agriculture and allied sector is the dominant primary sector completely managed by private sector and contributes more than 30 percent of the domestic GNP. It also provides employment to nearly 67 percent of the working population. Now a days the corporate sector is also playing important role in the promotion of agriculture through contract farming. The private sector like Tata Chemicals, Mahindra and Mahindra Reliance etc are found involved in the contract farming programme in Punjab being sponsored by Punjab Agro Foodgrain Corporation. They are providing employment to the local people for promotional activities. From this point of view it can be said that the private sector is dominant in the case of agriculture and allied occupations.

Private Sector and Trading

The private sector is playing important role in retail and wholesale trading. This sector is enjoying almost monopoly status. The government is seen to be least suited to render these services. Although, they sometimes try to create artificial shortage by hoarding, yet their role in wholesale and retail trade cannot be underemphasised.

Private Sector and Education

India's improved education system most particularly the higher education system is often cited as one of the main contributors to the economic rise of India. Much of the progress in education has been credited to various private institutions. The private education market in India is estimated to be worth \$40 billion in 2008 and will increase to \$68 billion by 2012. However, India continues to face stern challenges. Private enterprise in education became even more important when the Indian economy went through liberalisation and we realised the existence of professional opportunities in fashion design, computers, media, jewellery design, travel and tourism, hotel management, bioinformatics, private security, management, insurance, etc. During the eighties and nineties private institutions seriously considered entering into the educational fold to tap the huge demand for newer courses and created an entirely new educational vista for Indian students.

Some of the advantages of education developed through private sector are as follows:

- i) Despite the higher cost of education at private institutions, there is enthusiasm among potential students because traditional colleges and universities offering highly subsidised education are not always in a position for proactively updating facilities, infrastructure or curricula.
- ii) Public sector institutions were able to offer limited seats and hence entry was highly competitive. Privately funded or corporate funded educational institutions thus came to be viewed as a viable option by students keen to get education in the desired field when they wanted it.
- iii) The entry of private sector in education has been on the basis of a realistic recognition of the needs and interests of the population. It has added new dimensions and alternatives for the education-hungry population.
- iv) Private educational enterprises offer greater variety of educational choices that match the greater variety of educational needs and interests inherent in a radically expanded and more heterogeneous student population. They provide alternate or non-conventional educational avenues.
- v) Not just variety but modernity in course content appeals to the students craving direct relationship between the job market and formal education. Short-term, part-time, placement-oriented courses have a niche opportunity successfully catered by private institutions.
- vi) Private sector involvement has undoubtedly helped to raise the general level and variety of educational opportunities. It has helped many students to tap rapidly emerging and evolving local as well as global career opportunities.
- vii) There is scope for public-private partnership in education for more effective utilization and management of funds invested in premier government institutions and upgradation of technologies to deliver newer programmes and improved quality of service.

Private Sector and Health

For the last five decades, the government has systematically nurtured the private health sector. This unwritten policy of the government runs parallel to the neglect, and now gradual, withdrawal of the state from the responsibility of people's

health. Such a consistent support and encouragement to the private health sector are very important reasons for the failure to provide universal basic health care to all people of the country.

Today there are approximately 11,25,000 practitioners of different systems registered with various medical councils in the country. Of them, only 125,000 are in government service (including those in central health services, the armed forces, railways, state insurance etc). That leaves about a million doctors floating around in the private sector, not to mention tens of thousands of additional unqualified and unregistered medical practitioners. About 60 % of all practitioners are concentrated in cities. Similarly, 84 % of hospital beds are today located in urban areas, whereas 75 % of the population still resides in villages. This selective concentration of health care providers is a major concern to be addressed. The State offers subsidies, loans, tax waivers and other benefits for the setting up of private practice, hospitals, diagnostic centres and pharmaceuticals. Thus, with such support the private health sector has grown into a giant – it is the largest private health sector in the world. With 60-80 % of health care sought in the private sector, and households contributing 4-6 % of their incomes, there's a whopping Rs. 400-600 billion health care market in India.

Some of the advantages are as follows:

1. The investment in the private health sector is huge
2. The quality of service and facilities in private hospital are better
3. The service is patient –friendly and more sensitive to people
4. The service is more efficient ,prompt, and instant
5. Its functioning is more transparent and accountable
6. The scope of competition among the private competitors is very high
7. The efficiency and quality of health services is steadily improving
8. It generates huge employment opportunities for the doctors and related workers
9. It has specialisation and expertise in different branches and different diseases

6.5 PROBLEMS OF PRIVATE SECTOR

The private sector faces the following important problems.

Profit Motive:

Almost all industrial houses in the private sector operate with the sole motive of maximizing the profits. They are profit hunters. As a result they are only interested to invest only in those activities, where there is quick profit and high profits. They therefore tend to ignore to build the industrial base of the country. So the capital goods sector and basic industries remain neglected. They only invest in consumer good industries.

Consumer Durables:

The private sector operators focus on the needs of elite class and urban consumers as they have ample purchasing power. Therefore the production pattern is skewed in favour of relatively smaller richer section of the society. The industrial units

tend to produce only consumer durables like electronics and automobiles for the elitist section. Therefore the core economic activity suffers as production structure of the country is distorted.

Monopoly Concentration

The big industrial and business houses tend to expand continuously. Therefore the MRTP act was in place to curb this trend. After economic reforms of 1991 in India, ironically there is less or unfair competition which results in concentration of wealth in few hands. This has happened in India.

Infrastructural Bottleneck

The business sector of India faces always the severe problem of infrastructure bottlenecks. The most important is power shortage and lack of transport facilities. Acute power shortfalls, unscheduled powercuts, erratic power quality delay in new power connection and high energy costs adversely affects the performance and competitive strength of industries in India.

Diminishing Net value added

The net present value is defined as the amount generated over and above the cost of raw material which go to the production system after allowing for the depreciation charges. It indicates the efficiency of production process. Many industries in the private sector have reported a decline in the share of net value added in output in a number of years. It only implies that the same amount of raw material has generated less output. Thus the level of efficiency has been declining.

Trade deficit

A large number of private sector companies have been resorting to massive imports in the post liberalisation period in order to upgrade their technology in a bid to brace up to global competition. As a result their import expenditure has increased at a much faster rate than their export earnings. This has pushed up the trade deficit of many developing countries including our country.

Industrial Disputes

As compared to public sector companies the private sector companies suffer more from industrial disputes. Differences and conflicts between owners and workers regarding wage, bonus retrenchment and other issues frequently emerge. Although there is arbitration boards, works committee for settlement of industrial disputes, the employers have better bargaining capacity. Taking advantage of this, they often refuse even the genuine demands of workers and conflicts assume the shape of a long drawn out struggles. So industrial often results in strikes and lockouts. It results in huge loss of man days and production leading to lower GDP.

Foreign competition

Private sector suffers from severe foreign competition. The economic reforms of 1991 have opened up the gates to foreign investors. The process of globalisation and integration of the Indian economy with the global economy has led to unequal competition- a competition between giant MNCs and dwarf Indian firms. Indians felt excited with the euphoria of liberalisation and higher economic growth. But foreign competition means larger imports, cheaper imports, more foreign investment and larger opportunities for MNCs to raid and takeover and predating

process. Even the large Indian firms are just operating like pygmies compared to MNCs. Many of them have been gobbled up and others are waiting their turn with bated breath.

Industrial Sickness

The private sector units big or small face the problems of industrial sickness. Significant amount of loanable funds are locked up in sick industrial units, which causes the wastes and affects the healthy growth of the entire industrial sector. As on March 2007, the total sick units were 1.18 lakhs with a bank credit of Rs30333 crores. Sickness is caused by both internal factors like finance, production, technology, management and external factors like market demand, recession and input supply, government policies.

Industrial finance

The small, medium and large private firms in the private sector confront the serious problem of industrial sickness. Huge amount of loanable funds and finance of financial institutions are locked up in sick industrial units causing wastages of resources. It adversely affects the healthy growth of industrial economy of India. At the end of March 2007, the there were 1.18 lakh sick units involving a bank credit of Rs.30,333 crores. Besides the external causes, the internal causes of industrial sickness refer to inefficiency, poor management of the private firms.

6.6 CORPORATE GOVERNANCE

Corporate governance is a multi-faceted subject. It is the set of processes, customs, policies, laws, and institutions affecting the way a corporation (or company) is directed, administered or controlled. Corporate governance also includes the relationships among the stakeholders involved and the goals for which the corporation is governed. The principal stakeholders are the shareholders, the board of directors, employees, customers, creditors, suppliers, and the community at large. An important theme of corporate governance is to ensure the accountability of certain individuals in an organisation through mechanisms that try to reduce or eliminate the principal-agent problem. The positive effect of corporate governance on different stakeholders ultimately is a strengthened economy, and hence good corporate governance is a tool for socio-economic development

Parties involved in corporate governance include the regulatory body (e.g. the Chief Executive Officer, the board of directors, management, shareholders and Auditors). Other stakeholders who take part include suppliers, employees, creditors, customers and the community at large. In corporations, the shareholder delegates decision rights to the manager to act in the principal's best interests. A board of directors often plays a key role in corporate governance. It is their responsibility to endorse the organisation's strategy, develop directional policy, appoint, supervise and remunerate senior executives and to ensure accountability of the organisation to its owners and authorities. The Company Secretary, is a high ranking professional who is trained to uphold the highest standards of corporate governance, effective operations, compliance and administration. All parties to corporate governance have an interest, whether direct or indirect, in the effective performance of the organisation. Directors, workers and management receive salaries, benefits and reputation, while shareholders receive capital return.

Customers receive goods and services; suppliers receive compensation for their goods or services. In return these individuals provide value in the form of natural, human, social and other forms of capital.

Principles

Key elements of good corporate governance principles include honesty, trust and integrity, openness, performance orientation, responsibility and accountability, mutual respect, and commitment to the organisation. Commonly accepted principles of corporate governance include the following:

- 1) Rights and equitable treatment of shareholders:
- 2) Interests of all legitimate stakeholders:
- 3) Role and responsibilities of the board
- 4) Integrity and ethical behaviour and decision making.
- 5) Disclosure and transparency
- 6) Independence of external auditors

Corporate Governance is much broader. It must include a fair, efficient and transparent administration and strive to meet certain well defined, written objectives. Corporate governance goes well beyond laws and rules. The quantity, quality and frequency of financial and managerial disclosure, the degree and extent to which the board of Director (BOD) exercise their trustee responsibilities and the commitment to run a transparent organisation- should be constantly evolving. Perpetuation of the organisation for its own sake is counterproductive.

Mechanisms and controls

Corporate governance mechanisms and controls are designed to reduce the inefficiencies that arise from moral hazard and adverse selection. There are two types of controls in corporate governance.

- a) Internal corporate governance controls
- b) External Corporate Governance Controls

The corporate governance has the following systemic problems:

- 1) Lobbying process is worse for the company.
- 2) Monitoring costs is very high.
- 3) Supply of accounting information is not perfect.

6.7 CORPORATE SOCIAL RESPONSIBILITY

Corporate social responsibility (CSR) is also known as corporate citizenship, responsible business, sustainable responsible business (SRB), or corporate social performance. It is a form of corporate self-regulation integrated into a business model. Ideally, CSR policy would function as a built-in, self-regulating mechanism whereby business would monitor and ensure its support to law, ethical standards, and international norms. Consequently, business would embrace responsibility for the impact of its activities on the environment, consumers, employees, communities, stakeholders and all other members of the public sphere. Furthermore, CSR-focused businesses would proactively promote the public

interest by encouraging community development, and voluntarily eliminating practices that harm the public sphere, regardless of legality. Essentially, CSR is the deliberate inclusion of public interest into corporate decision-making, and the honoring of a triple bottom line: people, planet, profit.

The CSR is linked to the rise in popularity of ethical consumerism over the last two decades. Development of business ethics is one of the forms of applied ethics that examines ethical principles and moral or ethical problems that can arise in a business environment. In the increasingly conscience-focused marketplaces of the 21st century, the demand for more ethical business processes and actions is increasing. Simultaneously, pressure is applied on industry to improve business ethics through public initiatives. Corporations are re-branding their core values in the light of business ethics. The term “CSR” came in to common use in the early 1970s. It implies that stakeholder, should benefit from the business activity of shareholders. ISO 26000 is the recognised international standard for CSR. The UN has developed the Principles for Responsible Investment as guidelines for investing entities.

Thus the CSR refers to the following:

- a) It is an aid to an organisation’s mission.
- b) It represents the social obligation and core values of the company
- c) It upholds the interest of the customers and society at large.
- d) It is a part of business ethics, involving social accounting
- e) It is community-based and conscience-focused business
- f) It integrates both stakeholder and shareholder of business

Corporate Social Responsibility has been defined and redefined in many ways. Proponents argue that there is a strong business case for CSR, in that corporations benefit in multiple ways by operating with a perspective broader and longer than their own immediate, short-term profits.

6.7.1 Advantages of CSR

The economy exists to serve human beings, so all economic entities have an obligation to the society. Others, such as Patricia Werhane, argue that CSR should be considered more as a corporate moral responsibility. As discussed above, many CSR proponents point out that CSR has the following advantages.

- 1) It improves long-term corporate profitability by maximising interests of society as a whole
- 2) It reduces risks and inefficiencies while offering a host of potential benefits
- 3) It enhances brand reputation and employee engagement
- 4) It can be an aid to recruitment and retention
- 5) It builds the customer loyalty and stakeholders goodwill
- 6) It integrates environmental aspects of business operations

6.8 PUBLIC-PRIVATE PARTNERSHIP

The public- private partnership (PPP) is one of the most popular reforms of the last decade in public financial management. A growing number of countries show

interest in PPP as it is the best antidote to the worldwide downturn in infrastructure investment. It is found in Europe that between 1990 and 2005, more than a thousand partnerships had been signed in the European Union alone, representing an investment of almost 200 billion euros.

The PPP refers to the arrangement in which the private sector supplies infrastructure assets and services traditionally provided by governments. There is the presence of external financing in the activities of the Government. The PPPs are government contracts with the private sector that, through their flexibility and complexity, put the public entity's assets at significant risks. This is because they are partially exempt from traditional procurement schemes and regulations and are used by ministries less trained than their private sector counterparts to develop efficient risk management procedures.

In this rapidly evolving area, the consensus currently crystallizes on following points:

1. PPPs should be limited to projects delivering greater Value for Money
2. the contractibility of the quality of service,
3. the transfer of a significant share of risks to the private sector,
4. the presence of competition or incentive-based regulations,
5. a sound institutional and legal framework,
6. a sufficient level of technical expertise in the government, and
7. the proper disclosure of PPP commitments, along with government guarantees

Check Your Progress 2

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

- 1) Describe the role of private sector in providing employment to the masses.

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- 2) What are the key principles of corporate governance?

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- 3) Mention the problem of infrastructural bottleneck faced by private sector.

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4) What is Corporate Social Responsibility (CSR)?

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6.9 LET US SUM UP

In this unit we dealt with the definition and significance of private sector in the process of economic development. We examined the role of private sector in economic growth of India. We analysed the significance of corporate sector in infrastructural development, industrial development, education and health care. We analysed the problems and constraints of private enterprises of India. We discussed about corporate governance, corporate social responsibility and public-private partnership in Indian context. We also analysed the merits and demerits of privatisation process in India.

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6.11 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress 1

- 1) The private sector plays the following dominant role in Indian economy
 - It has an extensive modern industrial sector
 - It has become the powerful driver of development
 - It has led to the growth of Small scale industries

- It has huge employment and investment potential
 - It plays significant role in health and education sector
- 2) Some positive effects of the growth of private sector in India are as follows:
- Manufacturing registered 11.9% growth
 - The passenger vehicles sector grew by 11.61% during April-May 2007
 - Electricity, gas & water supply performed well and recorded an impressive growth rate of 8.3%
 - Construction growth rate rose to 10.7%
 - Trade, hotels, transport and communication registered a growth rate of 12%
- 3) The top eight sectors which have attracted FDI in India are as follows:
- a) Automotive components
 - b) Financial services (banking and non banking)
 - c) Electric Power plants
 - d) Coal Washeries
 - e) Coal –bed methane explorations and recovery
 - f) Telecommunication equipments and service
 - g) Hospitality industry
 - h) Food processing industry

Check Your Progress 2

- 1) The private sector has supplemented and complemented government endeavour in providing employment and thereby helping in solving the problem of unemployment in the country. Although there are complains of exploitation, yet it has provided livelihood to a large section of unemployed who otherwise could not find a place in public sector.
- 2) Commonly accepted principles of corporate governance include the following:
 1. Rights and equitable treatment of shareholders:
 2. Interests of all legitimate stakeholders:
 3. Role and responsibilities of the board
 4. Integrity and ethical behaviour and decision making.
 5. Disclosure and transparency
 6. independence of external auditors
- 3) The business sector of India faces always the severe problem of infrastructure bottlenecks. The most important is power shortage and lack of transport facilities. Acute power shortfalls, unscheduled power cuts, erratic power quality delay in new power connection and high energy costs adversely affects the performance and competitive strength of industries in India.

4) The CSR refers to the following:

- It is an aid to an organisation's mission.
- It represents the social obligation and core values of the company
- It upholds the interest of the customers and society at large.
- It is a part of business ethics, involving social accounting
- It is community-based and conscience-focused business
- It integrates both stakeholder and shareholder of business



UNIT 7 DEVELOPMENT AGENCIES

Structure

- 7.0 Introduction
- 7.1 Learning Outcomes
- 7.2 The Role of Government Agencies and Institutions in Development
- 7.3 The Role of financial and Non Financial Institutions in Development
- 7.4 The Role of Multilateral and Bilateral International Agencies in Development
 - 7.4.1 Multilateral International Agencies
 - 7.4.2 Bilateral International Agencies
- 7.5 The Role of the United Nations Agencies in Development
- 7.6 Let Us Sum Up
- 7.7 References and Further Readings
- 7.8 Check Your Progress: Possible Answers

7.0 INTRODUCTION

In the earlier units, you learned about the dynamics and the process of development. In this unit, you will study the role of development agencies in the dynamics and the process of development. Development agencies are agencies whose goal is to accelerate development within a specified geographical location – a city, region, or state - by providing the necessary resources and assistance in a specified span of time. A development agency engages in directing development, or facilitating development, through by providing inputs, guidance, finance, markets, technology, etc. Some development agencies are privately owned and others are run by government. Both kinds of development agencies play an important role in assisting the various development efforts in an area. Besides various international agencies, such as the World Bank, the Asian Development Bank, also extend financial and technical support in different areas of development. In this unit, you will read in detail about their role, responsibilities, and functions.

7.1 LEARNING OUTCOMES

After studying this unit, you should be able to:

- Discuss the role of governmental development agencies in development;
- Explain the role of financial and non financial institutions of development; and
- Narrate the type, nature, and extent of multilateral and bilateral assistance provided by the international agencies for development.

7.2 THE ROLE OF GOVERNMENT AGENCIES AND INSTITUTIONS IN DEVELOPMENT

In this section, you will read about the role of government agencies in development. Various government agencies play important roles in directing the

development activities to be pursued in both the short and the long run. The role of a few important government agencies that play an important part in development in India is discussed. These agencies are:

- i) Niti Aayog (formerly Planning Commission)
- ii) The Finance Commission of India
- iii) State Finance Commission
- iv) State Planning Board
- v) District Planning Boards Committees

i) Niti Aayog (National Institution for Transforming India)

The National Institution for Transforming India, also called NITI Aayog, was formed via a resolution of the Union Cabinet on January 1, 2015. NITI Aayog is the premier policy 'Think Tank' of the Government of India, providing both directional and policy inputs. While designing strategic and long term policies and programmes for the Government of India, NITI Aayog also provides relevant technical advice to the Centre and States. The Government of India, in keeping with its reform agenda, constituted the NITI Aayog to replace the Planning Commission instituted in 1950. This was done in order to better serve the needs and aspirations of the people of India. An important evolutionary change from the past, NITI Aayog acts as the quintessential platform of the Government of India to bring States to act together in national interest, and thereby fosters Cooperative Federalism.

Functions:

To evolve a shared vision of national development priorities sectors and strategies with the active involvement of States in the light of national objectives:

- To foster cooperative federalism through structured support initiatives and mechanisms with the States on a continuous basis, recognising that strong States make a strong nation.
- To develop mechanisms to formulate credible plans at the village level and aggregate these progressively at higher levels of government.
- To ensure, on areas that are specifically referred to it, that the interests of national security are incorporated in economic strategy and policy.
- To pay special attention to the sections of our society that may be at risk of not benefiting adequately from economic progress.
- To design strategic and long term policy and programme frameworks and initiatives, and monitor their progress and their efficacy. The lessons learnt through monitoring and feedback will be used for making innovative improvements, including necessary mid-course corrections.
- To provide advice and encourage partnerships between key stakeholders and national and international like-minded Think tanks, as well as educational and policy research institutions.
- To create a knowledge, innovation and entrepreneurial support system through a collaborative community of national and international experts, practitioners and other partners.

- To offer a platform for resolution of inter-sectoral and inter- departmental issues in order to accelerate the implementation of the development agenda.
- To maintain a state-of-the-art Resource Centre, be a repository of research on good governance and best practices in sustainable and equitable development as well as help their dissemination to stake-holders.
- To actively monitor and evaluate the implementation of programmes and initiatives, including the identification of the needed resources so as to strengthen the probability of success and scope of delivery.
- To focus on technology upgradation and capacity building for implementation of programmes and initiatives.
- To undertake other activities as may be necessary in order to further the execution of the national development agenda, and the objectives mentioned above.

ii) Finance Commission of India

The Constitution of India provides for the establishment of a Finance Commission for the purpose of allocation of certain resources of revenue between the Union and the State Governments. The President of India established the Finance Commission under Article 280 of the Constitution.

The qualifications, powers and procedures of the Commission itself are regulated by the Finance Commission (Miscellaneous Provisions) Act, 1951. The Finance Commission is constituted to define financial relations between the Centre and the States. Under the provision of Article 280 of the Constitution, the President appoints a Finance Commission for the specific purpose of devolution of non-plan revenue resources.

Under Article 280 of the Constitution, the Finance Commission is required to make recommendations to the President about.

- The distribution of net proceeds of taxes to be shared between the centre and the states, and the allocation between the states of the respective share of such proceeds.
- The principles which should govern the grants-in-aid by the center to states out of the Consolidated Fund of India.
- The measures needed to augment the consolidated fund of a state to supplement the resources of the Panchayats and the Municipalities in the State on the basis of the recommendations made by the State Finance Commission.
- Any other matter referred to it by the President of India, in the interests of sound finance.

The Finance Commission has the following powers:

- The Commission shall have all the powers of the Civil Court, as per the Code of Civil Procedure, 1908.
- It can call any witness, or, can ask for the production of any public record, or document, from any court or office.

- It can ask any person to give information or documents on matters as it may feel to be useful, or relevant.
- It can function as a civil court in discharging its duties.

iii) State Finance Commission

The 73rd constitutional amendment envisages that in every five year, the state government shall appoint a Finance Commission to review the financial aspects of the Panchayati Raj Institutions (PRI), and Urban Local Bodies (ULBs). The State Finance Commission (SFC) will give recommendations with regard to;

- The distribution between the state and the Panchayats of the net proceeds of taxes, duties, tolls and fees leviable by the state which may be divided between them, and how allocation would be made among the various levels of panchayats.
- What taxes, duties, tolls and fees may be assigned to the panchayats.
- Grant –in-aids to the panchayats.

The report of the commission together with the action taken report shall be laid before the state legislature. Many states have appointed their third State Finance Commission. The State Finance Commission reports are referred to in the matter of the allocation of resources to different sectors in the states.

iv) State Planning Boards

The State Planning Boards were formed, primarily, to assist the Planning Commission in allocating resources to states, to enable the state governments to formulate development plans based on a scientific assessment of the resources of the state, and the growth priorities. The boards were assigned the task of preparing an Annual Economic Review to be presented, along with the Budget Document to the state legislatures.

The main functions of the State Planning Boards are:

- To assess the resources of the state, and to prepare schemes for their effective utilisation
- To assist the District Planning Officers in preparing district plan proposals, so that they may be incorporated in the overall Plan.
- To ascertain the obstacles to growth of the state economy, and to suggest measures for removing regional imbalances.
- To monitor the progress of Plan schemes, and to suggest changes in developmental policies.
- To decide Plan priorities.

v) District Planning Boards and Committees

The decentralised planning process started long ago in India, and, in 1969, the Union Planning Commission issued guidelines for preparing district plans. Realizing that the planning machinery and competency were not yet developed at the district level at the time, efforts were redirected, in later years, to strengthen the state level planning process. In the early 1980s, a Working Group, under the Chairmanship of Professor C.H. Hanumantha Rao, was constituted to develop guidelines for district plans. Based on the recommendations of this Committee,

the Seventh Five Year Plan adopted decentralised planning at the district level as one of the major strategies to achieve plan targets.

Local self-government is the prime instrument of decentralisation at the grass root level. The intention of local self-government is to shift from bureaucratic administration to democratic administration, and to formulate, and execute development programmes through people's participation, and to instill political consciousness among the people. They act as vehicles in carrying back to the people the power that really belongs to them. They ensure self-governance through directly elected representatives.

According to Dr. D.R. Gadgil, the primary requirements of district planning are the knowledge of local conditions, and the association of local people with the formulation, and the implementation of development plans. The well known Economist, Gunnar Myrdal pointed out, way back in 1968, "The ideal has always been that the plan should come from the people and meet their wishes and needs, and have their support in thought, as well, as deed". The points put forth in favour of decentralised planning are:

- it facilitates the formulation of locally relevant programmes, with reference to natural endowments, and felt needs of the people
- it makes bureaucrats more accountable to the people
- it also facilitates the participation of ordinary people in the planning and development process.

At the state level, the District Planning Board, and, more recently, after the 73rd Constitutional Amendment, the District Planning Committees have begun to function. The important functions of District Planning Board are:

- i) To formulate a long term district perspective plan, and to evolve a strategy of planned development for the district, on the basis of felt needs of the people, and local priorities
- ii) To prepare a priority-wise list of schemes and programmes, taking into account the resources available from the plan fund and community contribution, well before the beginning of each year.
- iii) To take appropriate measures for the proper implementation of schemes and programmes and projects.
- iv) To monitor the progress of projects, and for this purpose the District Planning and Development Board may meet as frequently as necessary. The Board will send performance reports to the State Planning Board at regular intervals.
- v) To encourage the panchayats and other local bodies to implement development projects themselves. They are responsible for the maximum involvement of people, and for developing confidence in their leadership, and in their ability to implement development work. The involvement should be both in terms of financial and physical parameters
- vi) To make efforts to generate additional resources for developmental work with the cooperation of people. NGOs, NRIs, and other agencies and;
- vii) Any other related function that might be assigned by the State Planning Board.

In the 73rd Constitution Amendment, Article 243 ZD envisages that there shall be a District Planning Committee in every district to consolidate the plans prepared by the panchayats and municipalities in the district. Now, in most states, the District Planning Committees (DPC) have been constituted. The Act envisaged that the chairman of the Zilla Parishad (the District Panchayat) be the chairman of DPC. However, in many states, DPCs are headed by District Commissioners. The function of the DPCs is more, or less, equivalent to the District Planning Board. Recently, the DPC has been instrumental in the preparation of District Agriculture Plan, District BRGF (Backward Region Grant Fund) plan and District NREGS (National Rural Employment Guarantee Scheme) now called MREGA (Mahatma Gandhi Rural Employment Guarantee Scheme) Plan in most of the states.

7.3 THE ROLE OF FINANCIAL AND NON FINANCIAL INSTITUTIONS IN DEVELOPMENT

Besides the apex planning bodies mentioned in the preceding section, various banking and non-banking institutions also play important role in the development of the nation.

The Role of Financial Institutions

A few important financial institutions providing finance for developmental activities in India are described, below.

1) The Industrial Development Bank of India (IDBI)

The Industrial Development Bank of India (IDBI) is the tenth largest bank in the world in terms of financing development. The National Stock Exchange (NSE), The National Securities Depository Services Ltd. (NSDL), Stock Holding Corporation of India (SHCIL) are some of the institutions which have been built by the IDBI. The IDBI is a strategic investor in a large number of institutions, which have revolutionised the Indian financial markets. The IDBI's role as a catalyst to industrial development encompasses a wide spectrum of activities. The IDBI can finance all types of industrial concerns covered under the provisions of the IDBI Act. With over three decades of service to the Indian industry, the IDBI has grown substantially in terms of size of operations, and its portfolio. The IDBI also undertakes and supports wide-ranging promotional activities that include entrepreneurship development programmes, the provision of consultancy services for small and medium enterprises, assistance in upgrading technology, and programmes for the economic uplift of the underprivileged.

2) The National Bank for Agriculture and Rural Development (NABARD)

NABARD was set up by the Government of India as a development bank with a capital base of Rs 2,000 crore provided by the Government of India and the Reserve Bank of India. It is an apex institution handling matters concerning policy, planning and operations in the field of credit for agriculture and for other economic and developmental activities in rural areas. It has mandate to facilitate the flow of credit flow for the promotion and development of agriculture, and for integrated rural development. The mandate also covers supporting all other allied economic activities in rural areas, promoting sustainable rural development, and

taking measures that usher in prosperity in the rural areas. Essentially, it is a refinancing agency for financial institutions offering production credit and investment credit for promoting agriculture and developmental activities in rural areas.

NABARD performs the following functions:

- Initiate measures towards institution-building for improving the absorptive capacity of the credit delivery system, including monitoring, formulation of rehabilitation schemes, restructuring of credit institutions, training of personnel, etc.
- Coordinate the rural financing activities of all the institutions engaged in developmental work at the field level, and maintain liaison with the government of India, state governments, the Reserve Bank of India, and other national level institutions concerned with policy formulation.
- Prepare, on an annual basis, rural credit plans for all the districts in the country. These plans form the base for annual credit plans of all rural financial institutions.
- Monitor and evaluate projects that are refinanced by it.
- Promote research in the fields of rural banking, agriculture, and rural development.
- Function as a regulatory authority - supervise, monitor, and guide cooperative banks and regional rural banks.

One of the milestones in the field of micro-financing achieved by NABARD is helping the government and nongovernmental organisations in opening of SHGs.

3) **Commercial Banks**

In post-independence India, in order to facilitate improvements in agricultural production and attain food self-sufficiency, the thrust of the policy was to ensure sufficient and timely credit at reasonable rates of interest to as large a segment of the rural population as possible through the commercial banks. The strategy was threefold: (i) Expansion of the institutional base (ii) Directed lending to disadvantaged borrowers (iii) Credit provision at concessional rates of interest, and (iii) The nationalisation of commercial banks was done to promote financing facilities in rural areas.

During the post-independence period, commercial banks came a long way in providing rural credit to the rural community, with a substantial spread of branches in rural and semi-urban areas comprising 68% of their total outlets as on 31 March 1991. The period since 1991-92 has seen rapid expansion of credit to agriculture. This includes credit extended by the Regional Rural Banks. During this period, the Government also took some major initiatives to boost agricultural production and productivity through enhanced credit flow, and by way of building agricultural infrastructure, particularly, irrigation and connectivity in rural areas.

4) **Co-operative Societies**

The cooperative movement in India owes its origin to agriculture, and allied sectors. Towards the end of the 19th century, the problems of rural indebtedness and the consequent conditions of the farmers created an environment for chit funds and cooperative societies. Farmers generally found the cooperative

movement an attractive mechanism for pooling their limited resources to solve shared problems relating to credit, supplies of inputs, and the marketing of agricultural produce.

The experience gained from working with cooperatives led to the enactment of the Cooperative Credit Societies Act, 1904. Subsequently, this was comprehensively revised to the Cooperative Societies Act. This Act provided for the creation of the post of Registrar of Cooperative Societies and to the registration of cooperative societies for audit, and other purposes.

In 1958, the National Development Council (NDC) recommended a national policy on cooperatives. Prime Minister Jawaharlal Nehru had strong faith in the cooperative movement. While opening an international seminar on cooperative leadership in South East Asia he had said, "But, my outlook at present is not the outlook of spreading the cooperative movement gradually, progressively, as it has done. My outlook is to convulse India with the Cooperative Movement, or rather with cooperation to make it, broadly speaking, the basic activity of India, in every village as well as elsewhere; and finally, indeed, to make the cooperative approach the common thinking of India...Therefore, the whole future of India really depends on the success of this approach of ours to these vast numbers, hundreds of millions of people".

The cooperative sector plays a distinct and significant role in the country's socio-economic development. There has been a substantial growth in this sector in diverse areas of the economy over the past few decades. The number of all types of cooperatives increased from 1.81 lakh in 1950-51, to 4.53 lakh in 1996-97. Cooperatives have operated in various areas of the economy such as credit, production, processing, marketing, input distribution, housing, dairying, and textiles. In some of their areas of activity, such as dairying, urban banking, housing, sugar and handlooms, the cooperatives have achieved some success, but, there are larger areas where they have not been so successful.

Role of Non-Financial Institutions

1) Non -Governmental Organisations

Socioeconomic development is a process of mutual endeavor which calls for participation from all segments of the society. But, due to the limited capability of the national government in most third world countries, it has become increasingly difficult to respond effectively to the growing and diversified needs of the vast majority at the grassroots level. It is here that the role of the non-governmental organisations (NGOs) becomes important.

NGOs are voluntary organisations other than cooperatives, Self-Help Groups (SHGs), etc. Voluntary organisations are known for their human touch, dedication, great initiatives, self-reliance, contextual innovations, flexibility, togetherness with community, and ability to reach the masses in the most effective manner. These organisations are now considered partners of government in all their endeavours concerning the needy, the poor, children and women and their environment. NGOs are an important link between people at the grassroots, civil society, and the state. They are instrumental in creating awareness and implementing development programmes in agriculture, watershed development, women's empowerment, education, de-addiction, removal of superstitions, health and family welfare, human rights, disaster management, etc.. They are, thus,

representative of alternative modes of development thinking in India. NGOs have been doing commendable work by reaching out to people in all spheres of socioeconomic life. They have a long history in India, and have been associated with developing easy and quick rapport with people at the grass root level.

2) Self Help Groups (SHGs)

The Self Help Group (SHG), Bank Linkage Programme, was started as a pilot project by NABARD, in 1992. It led to the evolution of a set of RBI approved guidelines to banks to enable SHGs to transact with banks. Initially, there was slow progress in the programme up to 1999, as only 32,995 groups were credit linked during the period, 1992 to 1999. Since then, the programme has grown rapidly, and the cumulative number of SHGs financed increased from 4.61 lakhs on 31 March 2002 to 10.73 lakhs on 31 March 2004, and has grown further, to 29.25 lakh groups, as on 31, March 2007.

The credit provided by NABARD to SHGs has supplement their incomes by initiating entrepreneurial activities at the grassroots level. This has been a very successful development initiative, undertaken by NABARD. Commercial banks also play a major role in the promotion of SHGs. Under the bank linkage movement, more than 11.88 lakh SHGs have linked to banks for the provision of credit. Reforms in the commercial banking system include the removal of procedural and transactional bottlenecks, including the elimination of the Service Area Approach, reducing margins, redefining over dues to coincide with crop cycles, new debt restructuring policies, one time settlement, and relief measures for farmers indebted to non institutional sources.

In this section, you have read about the role of government agencies and institutions in development, the role of financial and non-financial institutions in development. Now, answer the questions given in Check Your Progress 1.

Check Your Progress 1

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1) What are the key functions of Niti Aayog?

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2) Discuss the roles, functions, and powers of the Finance Commission of India.

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7.4 THE ROLE OF MULTILATERAL AND BILATERAL INTERNATIONAL AGENCIES IN DEVELOPMENT

In this section, you will read about key international agencies that provide assistance to the development sector. You may have heard of some of them, such as the World Bank, Asian Development Bank.

7.4.1 Multilateral International Agencies

A few important multilateral international agencies that provide assistance in the development field are discussed:

i) World Bank

The World Bank is a vital source of financial and technical assistance to developing countries around the world. It is not a bank in the ordinary sense. It is made up of two unique development institutions—the International Bank for Reconstruction and Development (IBRD), and the International Development Association (IDA), both owned by 186 member countries. The World Bank is like a cooperative, where its 186 member countries are shareholders. The shareholders are represented by a Board of Governors. They are the ultimate policy makers at the World Bank. Generally, the governors are ministers of finance, or some equivalent from member countries. They meet once a year, at the Annual Meetings of the Boards of Governors of the World Bank Group, and the International Monetary Fund. Institutions, the International Bank for Reconstruction and Development (IBRD), and the International Development Association (IDA), play different, but collaborative roles to advance the vision of inclusive and sustainable globalization. The IBRD focuses on middle income and creditworthy poor countries, while the IDA focuses on the poorest countries in the world. Together they provide low interest loans, interest free credits, and grants to developing countries for a wide range of activities that include investments in education, health, public administration, infrastructure, financial and private sector development, agriculture, and environmental and natural resource management.

ii) International Bank for Reconstruction and Development (IBRD)

The International Bank for Reconstruction and Development aims to reduce poverty in middle income and creditworthy poorer countries by promoting sustainable development through loans, guarantees, risk management products, and analytical and advisory services. Established in 1944 as the original institution of the World Bank Group, the IBRD is structured like a cooperative that is owned and operated for the benefit of its 186 member countries.

The IBRD raises most of its funds from the world's financial markets, and it has become one of the most established borrowers since issuing its first bond in 1947. The income that IBRD has generated over the years has allowed it to fund development activities, and to ensure its financial strength, which enables it to borrow at low cost and offer its clients favourable borrowing terms. To fulfill its goals, it

- preserves borrowers' financial strength by providing support in crisis periods, which is when poor people are most adversely affected
- uses the leverage of supports long term human and social development needs that private creditors do not finance
- financing to promote key policy and institutional reforms (such as a safety net, or anticorruption reforms)
- creates a favorable investment climate in order to catalyze the provision of private capital
- provides financial support (in the form of grants made available from the IBRD's net income) in areas that are critical to the wellbeing of poor people in all countries.

Middle income countries, where 70 per cent of the world's poor live, have made profound improvements in economic management and governance over the past two decades, and are rapidly increasing their demand for the strategic, intellectual, and financial resources that the World Bank has to offer. The challenge facing the IBRD is to better manage and deliver its resources to meet the needs of these countries.

iii) International Development Association (IDA)

The International Development Association is a part of the World Bank that helps the world's poorest countries. It complements the World Bank's other lending arm — the International Bank for Reconstruction and Development— which serves middle income countries with capital investment and advisory services.

Loans from the IDA are designed to address issues in primary education, basic health services, clean water supply and sanitation, environmental safeguards, business climate improvements, infrastructure, and institutional reforms. These projects are intended to pave the way towards economic growth, job creation, higher incomes, and better living conditions.

The International Development Association helps to reduce poverty by providing no-interest loans and grants for programs that are aimed at boosting economic growth, and improving living conditions. The IDA funds help the poorest countries deal with the complex challenges they face in striving to meet the Millennium Development Goals. They must, for example, respond to competitive pressures, as well as the opportunities of globalisation; arrest the spread of HIV/AIDS; and prevent conflict, or deal with its aftermath. The IDA's goal is to reduce inequalities both across, and within, countries by allowing more people to participate in the mainstream economy, reducing poverty, and promoting equal access to the opportunities created by economic growth. The IDA also provides grants to countries at risk of debt distress.

iv) Asian Development Bank (ADB)

The Asian Development Bank is a multilateral development finance institution whose mission is to reduce poverty in the Asia Pacific Region. Although the ADB claims to operate in the interest of Asia's poorest citizens, civil society groups have long been concerned about the ADB's role in promoting sustainable and equitable growth in the region. The ADB was founded in 1966 with the goal of eradicating poverty in the region.

The Asian Development Bank is a many-sided development bank that is owned by around 67 member nations. The Asian Development Bank has provided India with loans of huge amounts over the years. The Asian Development Bank has helped India to reduce its level of poverty, improve infrastructure, and has given a boost to its economy.

The main objective of the Asian Development Bank is to help its members, who are developing countries, by providing them with technical assistance, grants, loans, and guarantees. With over 1.9 billion people living on less than \$2 a day in Asia, the institution has a formidable challenge. It undertakes the following, in the Asia Pacific Region.

- Provide loans and equity investments to its developing member countries (DMCs)
- Provide technical assistance for the planning and execution of development projects and programs, and, for advisory services
- Promote and facilitate investment of public and private capital for development
- Assist in coordinating development policies and plans of its DMCs.

India and the Asian Development Bank have had a relationship since 1966, when India became a member of the ADB. India holds around 224,010 shares in the ADB, and the percentage of votes that the country holds is 5.374%. The Asian Development Bank has provided India with large amounts of loans for various sectors, such as infrastructure, energy, financial, health, agriculture, and industry.

7.4.2 Bilateral International Agencies

Apart from the external multilateral assistance from the World Bank, Asian Development Bank, and the International Monetary Fund, there is provision for bilateral assistance as well. Many countries, such as Canada, Germany, Japan, UK, and USA, assist India and other developing countries on a regular basis. An outline of some of the organizations, and their role in developmental activities is given below.

i) Canadian International Development Agency (CIDA)

Canadian bilateral economic assistance to India began in 1951. Until March 2005, the total Canadian bilateral economic assistance to India amounted to \$ 2.743 billion (Canadian). The bilateral economic assistance mainly comprised development assistance, food, and technical assistance. Canadian assistance has been channelised through the Canadian International Development Agency (CIDA). The assistance extended by CIDA since 1, April, 1986, has been in the form of grants.

The Canadian bilateral assistance is provided in the form of grants to implement projects. The main objectives of CIDA's country policy programme for India had been.

- i) to promote economic and social policy reforms
- ii) to contribute to India's capacity to promote environmentally sound development

- iii) to assist in building a stronger economic relationship between the private sectors of both the countries.

ii) The Indo-German Bilateral Development Cooperation Programme

Since 1958, Germany has provided both financial and technical assistance to India, under the Indo-German Bilateral Development Cooperation Programme. Financial assistance is now being provided as soft loans, development loans (long term, and with reduced interest), Special Facility for Renewable Energy & Energy Efficiency, and as grants. During the Indo-German Annual Consultations, held in May, 2006, in New Delhi, a decision was taken to focus on the following sectors.

- Energy
- Environmental policy
- Economic reforms.

Even though the health sector will not form a priority area for Indo-German Development Cooperation, activities in the field of health care financing, social health insurance, the prevention of pandemic contagious diseases (HIV/AIDS, Polio), and support to related health sector reforms have a place in the programme.

The existing Indo-German Bilateral Cooperation Programme is largely focused in the states of Madhya Pradesh, Himachal Pradesh, Karnataka, Maharashtra, Rajasthan, West Bengal, and Orissa, though Germany is willing to offer development programmes to other parts of the country as well, particularly in the States of the North East, and Uttarakhand.

iii) The Japan Bank for International Cooperation (JBIC), and the Japan International Cooperation Agency (JICA)

Japan has extended financial assistance for India's development programme since 1958. Initially Japanese aid to India was canalized through the Government owned Export-Import Bank of Japan (J-EXIM). During 1975-76, aid was canalized through the Overseas Economic Cooperation Fund (OECF) of Japan. From 1976-77 onwards, both project, and commodity aid was canalized through the OECF. With effect from 1 October, 1999, J-EXIM and OECF have merged, and a new agency, Japan Bank for International Cooperation, is the channel for both the Overseas Development Agency (ODA) programme, as well as for the international economic programmes of the Government of Japan. The Japanese ODA loan assistance to India is received through JBIC, and grants in aid, and technical cooperation are received through JICA.

The Japan International Cooperation Agency (JICA) facilitates the grant in aid programme of the Government of Japan, and implements the technical cooperation programme. By way of technical cooperation, JICA provides approximately Rs 35-40 crores to India in a financial year. The main components of Technical Cooperation are:

- Technical Cooperation Projects
- Development Study
- Dispatch of Experts
- Follow-up Cooperation Programme

- Training of Indian Government personnel

iv) The Department for International Development (DFID)

The United Kingdom has provided bilateral assistance to India since 1958. At present, the UK is the largest external bilateral development partner, in terms of grants. The UK's assistance is channeled through the Department for International Development (DFID). This bilateral assistance from UK is provided in the form of grants routed through the Government of India's budget, which includes direct payment by DFID for consultancy services, experts, training, etc.

The priority areas of the UK's assistance are mainly in the social sectors, such as health and family welfare, rural development, environment, slum development, education, and programmes that relate to the Millennium Development Goals. DFID has chosen Andhra Pradesh, Madhya Pradesh, Orissa, and West Bengal as its priority states. DFID also supports local NGOs and civil society projects through the Poorest Areas Civil Society project (PACS), and the Orissa Civil Society Poverty Programme (OCSPP). The funds for NGO projects are disbursed by DFID to the concerned NGOs. DFID also provides assistance through various multilateral agencies through trust funds with the World Bank, ADB, UNICEF, UNDP, and others in the social sector.

v) The US Agency for International Development (USAID)

Bilateral development assistance from the US to India started in 1951, and until March, 2006, the total assistance extended to India is, approximately, US\$ 14.7 billion. The assistance, mainly administered through USAID, comprises development assistance, agricultural commodities, and technical assistance. The assistance extended by USAID at present is entirely in the form of grants in areas such as family planning services, AIDS prevention and control, disaster management, environment, and energy.

vi) European Commission (EC)

The EC extends development cooperation assistance to India since 1976. This assistance to India is entirely in the form of grants, and currently focuses on the areas of environment, public health, and education.

In the initial stages, the EC's development assistance was in the form of project financing. However, with the support of the Health & Family Welfare Sector Programme, the EC shifted their strategy to a sector based approach. The EC, in their Country Strategy Paper for India for 2002-2006, again changed in their strategy by adopting a partnership approach with one or two Indian states in order to deploy the bulk of their resources in these States for health, education and the Health and Family Welfare Sector Development Programme is implemented by the European Commission with the aim of reforming the health care system in India by focusing on primary health care services.

7.5 THE ROLE OF THE UNITED NATIONS AGENCIES IN DEVELOPMENT

Besides these multilateral and bilateral agencies, the United Nations agencies also provide assistance to promote the development of various sectors in developing countries. Some of the important agencies are discussed below.

i) The International Fund for Agricultural Development (IFAD)

The International Fund for Agricultural Development (IFAD) was set up in 1977, on the recommendation of the World Food Conference, which supported the setting up of an institution that would finance agricultural development projects, primarily for the expansion of food production in developing countries. The recommendation was endorsed by the United Nation's General Assembly, and this fund was set up as the 13th specialised agency of the United Nations.

Up to 31 March, 2006, 12 projects with assistance from IFAD amounting to US\$ 322.07 million had been implemented in India. Presently seven projects with a total assistance of US\$ 157.72 million are under implementation. These are on community resource management, tribal development, micro finance and livelihood security.

ii) The United Nations Development Programme (UNDP)

The United Nations Development Programme is the largest source of development cooperation in the UN system. The overall mission of the UNDP is sustainable human development through high priority to poverty alleviation, gender equity and women's empowerment, and environmental protection. The UNDP derives its funds from voluntary contributions from various donor countries. India's annual contribution to the UNDP has been to the extent of US\$ 4.5 million (Rs. 20.25 crores), which is the largest among the developing countries.

The resources of the UNDP are distributed across countries, taking into account population and per capita Gross National Product. The country-specific allocation of UNDP resources is made every five years under the Country Cooperative Framework (CCF).

The CCF focuses on the following thematic areas;

- Promoting human development and gender equality
- Capacity building for decentralisation
- Poverty eradication and sustainable livelihoods
- Vulnerability reduction and environment sustainability

iii) The United Nations International Children's Fund (UNICEF)

UNICEF was created by the United Nations General Assembly in 1946 to provide energy food and health care to children in countries devastated by World War II. UNICEF relies on contributions from government and private donors. UNICEF supports activities in the following areas.

- Early child development through a focus on children under three years of age, and with special attention to early learning and care, low birth weight and malnutrition, sanitation and hygiene, routine immunisation, and safe motherhood.
- The promotion of universal elementary education, particularly for girls, by concentrating on: (a) girls from difficult backgrounds including Scheduled Castes and Scheduled Tribes; (b) enhancing learning achievements; (c) and, mobilising community involvement in schools
- The protection of children who are vulnerable to labour, trafficking, and sexual exploitation, as well as promoting an enabling environment for addressing protection issues.

- The prevention of HIV/AIDS among children through: (a) imparting life skills to young people; (b) scaling up national efforts in the prevention of mother-to-child transmission; (c) and, advocating policy development and community-based actions to respond to those affected by HIV/AIDS.
- Emergency preparedness and response to reduce vulnerabilities, and support the continuity of sector interventions.

The results of the UNICEF Reproductive and Child Health (RCH) programme have contributed to reduced infant and maternal mortality in the following manner.

- An increased percentage of children have been fully immunised
- There is improved quality and access to the health system
- There are improved home practices, including management of childhood illness in selected districts
- The promotion of care practices for pregnant and lactating women and newborns.

iv) World Food Programme (WFP)

The World Food Programme was first established in 1960. Governed by an Executive Board, it has representatives from 36 countries. It is the food aid branch of the United Nations, and is one of the world's largest humanitarian organisations. The main aim of the WFP is to eradicate hunger and malnutrition. The main goals of the WFP are to:

- Save lives in refugee, and other emergency situations
- Improve the nutrition and quality of life of the most vulnerable people at a critical times in their lives,
- Help build assets to promote the self reliance of poor people and communities, particularly through labour intensive work programmes.

The WFP has undertaken development projects support to supplementary feeding through ICDS; forestry, through food for work; livestock and dairy development; irrigation and rural development activities; and, assistance during natural calamities, such as floods in Assam, Madhya Pradesh, the super cyclone in Orissa, the earthquake in Gujarat, and tsunami assistance in Tamil Nadu and Andaman and Nicobar Islands.

In India, the WFP implements its projects through five-year Country Programme (CP) cycles, keeping in step with the Five Year Plan of the Government of India. The Country Programme (2003-2007) focuses on assisting the Government of India to improve their food based programme by creating replicable models to overcome the issue of food insecurity within the country. The priority for WFP operations in India is to address the specific problems of hunger and malnourishment amongst children and women. Consistent with the 10th Five Year Plan of the Government of India, the current CP focuses on nutrition, education for girls, and asset creation in regions with high levels of food insecurity, and low levels of human development. The most recent CP has two major goals;

- To play a catalytic role in the country's efforts to reduce vulnerability, and eliminate hunger and food insecurity among the hungry and poor.

- To promote and demonstrate models that provide immediate and long term food security in the most food insecure districts, in the least developed states of the country.

The activities under the current CP include;

- Improving the nutritional status of children and women by providing support to the Integrated Child Development Services (ICDS).
- Investing in human development, with a special emphasis on girls through a food for education programme. The aims of this activity are to contribute to the achievement of the government's goal of universal elementary education, and to assist the Ministry of Tribal Affairs in establishing a successful model for school feeding.
- Improving food security through disaster mitigation and the preservation and creation of assets through a food for work programme. The primary goal of the activity will be to improve the long term household food security of the most disadvantaged people through preservation, and creation of assets such as dug wells, ponds, field bunds, and forests.

v) The World Health Organisation (WHO)

The World Health Organisation is the international agency within the United Nations' system that is responsible for health programmes. The WHO objectives, as set out in its constitution, is the attainment, by all people, of the highest possible level of health. Health is defined in the WHO constitution as a state of complete physical, mental and social wellbeing, and not merely the absence of disease, or infirmity. Its major goal is to combat disease, especially infectious diseases, and to promote the general health of people.

The WHO's Country Office (WCO) in India collaborates with the Government of India. The primary partnership of the WCO is with the Union Ministry of Health and Family Welfare, with which it has day-to-day liaison with the ministry's International Health Division. WCO is guided by its Country Cooperation Strategy (CCS). The most recent CCS, 2006-2011, is the basis for undertaking technical assistance in collaboration with the Government of India, the states, development partners, and civil society. The CCS is the WHO's tool for alignment with national health strategies and priorities, as well as for harmony with other UN agencies, and development partners.

The WCO is organised around core programme clusters. Each of the core clusters has programmes on diseases such as communicable and non-communicable diseases or focuses on a specific area in the health sector such as child and adolescent health, and the health system. The WCO also has special programmes that focus on specific initiatives, such as the National Polio Surveillance (NPSP), Routine Immunisation, Disease Surveillance, Revised National Tuberculosis Control (RNTCP), Emergency and Humanitarian Action.

vi) The United Nations Population Fund (UNPF)

The United Nations Population Fund (UNPF) was formed in 1969 by the name United Nations Fund for Population Activities. The UNPA supports programmes in Arab states in Europe, Asia and the Pacific, Latin America and the Caribbean, and sub Saharan Africa. The main trust of the UNFPA is to "reduce poverty, and to ensure that every pregnancy is wanted, every birth is safe, every young person

is free of HIV/AIDS, and every girl and woman is treated with dignity, and respect.” The main thrust of UNFPA is;

- Universal access to reproductive health
- Universal primary education, and closing the gender gap
- reduce maternal and infant mortality
- enhance life expectancy
- and to reduce HIV infection rates.

In this section, the role of multilateral and bilateral international agencies and the role of United Nations agencies in development. Now, answer the questions given in Check Your Progress 2.

Check Your Progress 2

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

- 1) Financial institutions play a key role in the country’s path to development. Discuss this in the light of the role played by the IDBI and NABARD.

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- 2) What are the objectives of UNICEF’s RCH Program?

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7.6 LET US SUM UP

Development agencies play an important role in the development of a nation. In India, the National Planning Commission, the Finance Commission, the State Finance Commission, and State Planning Board play vital roles in the formulation of national and state plans. At the district level, under the umbrella of decentralised planning, the District Planning Committees are being involved in preparation of district development plans. This unit also discusses the role and the functions of various bilateral and UN agencies, such as the World Bank, the ADB, UNICEF, USAID, CIDA, along with others and their work in the development of various sectors. The development agencies, including NGO’s and banks, also play an important role in the socioeconomic development of a nation.

7.7 REFERENCES AND FURTHER READINGS

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7.8 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress 1

1. What are the key functions of Niti Aayog?

Answer: To foster cooperative federalism through structured support initiatives and mechanisms with the States on a continuous basis, recognising that strong States make a strong nation.

- To develop mechanisms to formulate credible plans at the village level and aggregate these progressively at higher levels of government.
- To ensure, on areas that are specifically referred to it, that the interests of national security are incorporated in economic strategy and policy.
- To pay special attention to the sections of our society that may be at risk of not benefiting adequately from economic progress.

2. Discuss the roles, functions and powers of the Finance Commission of India.

Answer: Under Article 280 of the Indian Constitution, the Finance Commission is required to make recommendations to President regarding.

- The distribution of net proceeds of taxes to be shared between the Centre and the States, and the allocation between the states of the respective share of such proceeds.
- The principles which should govern the grants-in-aid by the Center to the states out of the Consolidated Fund of India.
- The measures needed to augment the consolidated fund of a State to supplement the resources of the panchayats and the municipalities in the state, on the basis of the recommendations made by the State Finance Commission.

Check Your Progress- 2

1. Financial institutions play a key role in the country's path to development. Discuss this in the light of the role played by the IDBI and by NABARD.

Answer: The IDBI is vested with the responsibility of coordinating the working of institutions that are engaged in financing, promoting, and developing industries. It has evolved an appropriate mechanism for this purpose. NABARD initiates measures toward institution-building for improving the absorptive capacity of the credit delivery system. This includes monitoring, formulation of rehabilitation schemes, restructuring of credit institutions, training of personnel, etc. NABARD coordinates the rural financing activities of all the institutions engaged in developmental work at the field level, and maintains liaison with the government of India, state governments, with the Reserve Bank of India, as well as with other national level institutions that are concerned with policy formulation.

2. What are the objectives of the UNICEF's RCH Program?

Answer: The UNICEF Reproductive and Child Health (RCH) programme contributes to the reduction of infant and maternal mortality by realising the following.

- An increased percentage of children, fully immunised
- Improved quality and access to the health system
- Improved home practices, including the management of childhood illness in selected districts
- Promoting care practices for pregnant and lactating women and newborns.

THE PEOPLE'S
UNIVERSITY

UNIT 8 NON-GOVERNMENTAL ORGANISATIONS (NGO)

Structure

- 8.0 Introduction
- 8.1 Learning Outcomes
- 8.2 The Rise of NGOs
- 8.3 NGO Sector in India
- 8.4 Classification of NGOs
- 8.5 Importance of NGOs
- 8.6 Let Us Sum Up
- 8.7 Keywords
- 8.8 References and Further Readings
- 8.9 Questions for Reflections and Practice
- 8.10 Check Your Progress: Possible Answers

8.0 INTRODUCTION

We are living in an era characterised by some as marked by the decline or retreat of the state. The decline of the state is accompanied by an increasing attention towards civil society institutions. Among the social groups and associations of various kinds that are considered to make up civil society, non-governmental organisations (NGOs) have become especially prominent in the last two decades. In the years after Independence, people exhorted the state to take the initiative with respect to social transformation; now the expectation is that NGOs will perform the same role. Be it the field of education or health, providing drinking water, organising forest-management groups or thrift societies for working women, NGOs are supposed to take the lead. How has such a dramatic shift occurred? How have NGOs become such an important part of civil society? In this Unit we will discuss all these aspects.

8.1 LEARNING OUTCOMES

After studying this Unit, you should be able to:

- Explain the importance of Civil Society Organizations;
- Analyse the role of NGOs in development; and
- Evaluate the impact created by NGOs in development process.

8.2 THE RISE OF NGOs

The rise of NGOs is one of the central processes in the sphere of development since the 1980s. This period also coincides with the demise of developmentalism as a project of the nation-state and the rise of post-developmental neo-liberal political economy (or what has also been described as market triumphalism). In what is often characterised as a move from inefficient states to efficient markets,

NGOs hold a distinctive mediating position. Given the profound implications of the NGO involvement in development, there is a great need to critically examine the changing relations among NGOs, state agencies, multilateral and bilateral funding institutions and other social groups. This situation has great bearing on the way in which we conceive of the process of social change and the roles of different social actors within it. Students of the sociology of organisations, political sociology, sociology of social movements and sociology of development need to pay greater attention to the phenomenon of NGOs.

By and large, sociologists have not given the phenomenal growth of NGOs the critical attention that it requires. There are hardly any systematic studies of their membership: what is the socio-economic background of the activists associated with them? Similarly, there are no attempts to analyse the NGOs as organisations: what are the dynamics and the process of decision-making within them? We know almost nothing about the power relationships within these groups and associations, nor do we know about the forms and channels of participation that affect the power relationship (Fisher 1997: 456). The literature on NGOs mainly consists of broad descriptive histories and, sometimes, generalised accounts of their achievements in the form of evaluation studies.

One of the reasons for the absence of rigorous studies is perhaps the close collaboration between academics and the NGOs' practical work. Often, social scientists have close links with NGOs, and since many NGOs operate in the cross-disciplinary space between academic research and activist intervention (policy study and advocacy, training and capacity building, social work and service delivery, etc.), they offer to academics many opportunities to pursue their work in the domain of non-academics practice. This collaboration has prevented many scholars from subjecting NGOs to the same scrutiny as other social institutions.

Although NGOs claim to believe in openness and transparency, many of them are not open to scrutiny by outsiders. Those who have achieved a degree of success and fame are often hostile to any objective studies by outsiders not approved by them.

8.3 NGO SECTOR IN INDIA

The NGO sector in India is characterised by tremendous diversity and heterogeneity. Ignoring this diversity, unfounded generalisations are often put forward and unfair comments and criticisms are offered. NGOs differ from one another in size, funding and functions; in the levels at which they operate; and in organisational structures, goals and membership (Fisher 1997: 447). There are over 14,000 NGOs registered under the Foreign Contributions Regulations Act. In all, there may be over 30,000 NGOs in India.

There are many definitions of NGOs. The voluntary sector includes non-governmental, non-profit organisations. They may be engaged in a variety of activities: implementing grassroots/sustainable development, promoting human rights and social justice, protesting against environmental degradation and many other similar tasks. Some activists resent and reject the term NGO and instead designate themselves as social action groups, political action groups or social movements (see Kothari 1993). Anna Hazare's village development group at Ralegan Siddhi in Maharashtra and Ela R. Bhatt's Self-Employed Women's

Association (SEWA) in Gujarat are both identified as NGOs, but are very different from each other in terms of size, membership, funding, approaches, strategies and outcomes. These differences only show that one should be very careful while making generalised statements about NGOs.

8.4 CLASSIFICATION OF NGOS

Just as there are many definitions of NGOs, there are several classifications too. Ghanshyam Shah and H.R. Chaturvedi (1983) divide NGOs into three main categories: techno- managerial, reformist and radical. Indira Hirway (1995) classifies NGOs in Gujarat into welfare-oriented (including health and education) development organisation and empowering NGOs. Sudarshan Iyengar (1998) classifies NGOs in Gujarat into four categories: Gandhian, service delivery organisations, professional organisations and mobilisation organisations.

D.C. Korten (1990: 115-27) distinguishes three generations of NGOs: the first, committed to relief and welfare; a second, attending to small-scale, local development projects; and a third, consisting of community organisations interested in building coalitions. C. Elliot (1987) has outlined a similar typology of NGOs based on distinctions among charity, development and empowerment work.

In Korten's (1990) view, the first generation relief and welfare NGOs, which predominate in the developing world, often have close tie with state an international development aid organisation and do not overtly engage in political activities. The second-generation development NGOs organise individuals locally to address issues like public health and agricultural development. These groups frequently help their constituents to overcome structural constraints, to challenge local and regional elites and to assist in reducing dependency relationships. The third generation NGOs explicitly target political constraints, engaging in mobilisation and 'conscientisation'. Their focus in on co-ordinating communications and linkages among people's organisations. These networks help to spread awareness of the practical local successes of some second generation development strategies and to serve as catalysts for wider social movements. However, these types are more ideal than real and not mutually exclusive (Fisher 1997:448).

In the literature on NGOs, there are several positive cases of the very poor people successfully organising themselves. The SEWA at Ahmedabad is one such example. Bhatt (1998:146-61) has described the activities of The SEWA Bank, one of several organisations working under the SEWA umbrella. The SEWA Bank has organised thousands of poor working women and mobilised them to run a co-operative bank, which encourages savings and fulfils their credit requirements for consumption, trading and production purposes. Its annual turnover runs into crores of rupees. George Mathew (1999: 529-34) has pointed out several instances in which panchayats and NGOs have worked together using their complementary skills and resources to achieve common goals.

Check Your Progress 1

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1. List the different classification of NGOs

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As reported elsewhere (see Attwood and Baviskar 2002), NGOs sometimes try to fill the gap between informal savings groups and dysfunctional, state-run 'co-operative' credit systems.

In 1976, the Grameen Bank, a new type of NGO, was established in Bangladesh. The bank advanced only small loans to poor people, primarily women organised into small groups. As with informal saving groups, group discipline ensures loans repayment. Other NGOs in Bangladesh have established similar 'micro-credit' programmes. The Grameen Bank system of small-group discipline seems particularly effective in reducing poverty and promoting women's empowerment (Hashemi et al. 1996). Yet, cultivation of group discipline entails high administrative costs, paid by external donors.

In Andhra Pradesh, an experiment in Women's Thrift Co-operatives (WTCs) was launched in 1990 under the auspices of the Co-operative Development Foundation (CDF), a local NGO based in Hyderabad. WTCs raise funds solely through small, regular contributions from their members, who earn interest on savings at 1 per cent per month. For loans, they pay 2 per cent. A village WTC may consist of 200-500 women, divided into groups of 10-50. Group discipline ensures excellent rates of loan recovery. Loans are used for household expenses, including house repair, education and health care, as well as investments in agriculture, livestock and small business.

In less than a decade, over 33,000 women formed 101 WTCs. As on 31 December 1998, their combined savings totaled Rs 26 million, with no external grants or loans. The CDF provides advice and support in established WTCs, but the latter soon become self-sufficient and self-managing, a source of empowerment for their members. About half the member and leaders come from landless households; another one-third have less than three acres of land (Biswas and Mahajan 1997; Rajagopalan 1999).

If strong, vibrant and lively civil society is the foundation of modern-open-democratic polity, NGOs are the very life-force for the civil society. Civil society and NGOs seem to go together. One cannot exist without the other. Civil society, when it is not used as a synonym for society in general, is used to refer to 'that segment of society that interacts with the state, influences the state and yet is distinct from the state' (Chazan 1992:281).

8.5 IMPORTANCE OF NGOS

The growing prominence of NGOs in the field of development is strongly related to the declining legitimacy of the state. Increasingly, the state is looked upon with suspicion, if not contempt. It is considered to be corrupt, oppressive and

anti-poor. Least governance is seen as a sign of good governance. Post-developmental ideologies of neo-liberalism chose to espouse the virtues of market enterprise. 'Good governance' is believed now to consist of two functions: facilitating the free play of market forces and enabling decentralised institutions of 'participatory management' to be formed. Participatory management is the new mantra for the provision of services through local municipalities and panchayats, as well as in the sphere of natural-resource management. State structures are criticised as being rigidly bureaucratic and corrupt and thus unsuited for performing either welfare or resource-management functions; whereas, NGOs are seen as 'civil society' actors that are more accountable, responsive and committed to bringing about social change. The state is seen as consisting of entrenched interests and styles of functioning that make it unwilling and unable to work with people, a role that NGOs are supposed to be good at. Thus, NGOs have emerged to perform a bridging function, taking on functions that the state is unsuited for, and are performing them with lower overheads, greater efficiency and motivation.

Increasingly, it is not only funding institutions but the state itself that accepts the presence of NGOs and, in fact, expects them to take over certain tasks. This new set of institutional linkages between the state agencies and NGOs, between state and 'civil society', needs to be explored more thoroughly.

The Indian state was initially indifferent, if not hostile, to encouraging NGOs in the sphere of development, although charity and relief organisations were tolerated to a certain extent. This climate changed after the mid 1980s. First, in the Seventh Five-Year Plan (1985-90) and later in the Eighth Five-Year Plan (1992-97), the government openly welcomed and encouraged participation of NGOs in the development sphere. Recently, the state has sanctioned about Rs. 1.5-2 billion annually for NGO funding, which is a substantial amount (Patel 1998: 47). Such a significant presence of NGOs in our civil society is not so common elsewhere. In October 1992, while speaking on the role of NGOs in India's rural development at the American University in Cairo, I was told by senior faculty members during discussion time that there were hardly any NGOs in the development field in Egypt. In India, they are so ubiquitous that we take them for granted, just as we take our democratic political set-up for granted. Amartya Sen (1986: 30-40) has brought out the significance of India being an open democratic society in his comparison with China where nearly 23 million people died during a famine in 1958-61 and the world at large did not even hear about it for decades. In the Indian political system, with a free press, opposition parties and a large number of NGOs, such an occurrence could never have happened.

Many international agencies, such as the World Bank, which were earlier working exclusively through national governments, now prefer to work through NGOs in implementing some of their projects. In one of its review of such programmes (Gibbs et al. 1999), the Bank has noted several positive aspects of working through NGOs without giving up some of its reservations. It is noted that the NGOs are far less constrained by bureaucratic procedures and administrative inefficiencies. What is more important for the Bank is the relative absence of blatant corruption and leakages in the channeling of funds. This absence results in a much greater share of benefits reaching the targeted groups than is likely to happen while working through the state machinery.

However, one should be cautious in generalising from some of these developments. One should not jump to the conclusion that the state is retreating. Those who benefit from state structures are well entrenched. One should not rule out the possibility of the state trying to co-opt. NGOs to retain its supremacy, rather than retreating from the scene.

NGOs are now an organisational form to which considerable social prestige adheres; they are in an advantageous position to secure contracts and consultancies. They provide opportunities for social enterprise for many individuals and social groups. The range of NGO activities spans a vast spectrum.

On the one hand, there is the case of Joint Forest Management (JFM), where a caucus of NGOs mobilised by the Society for the Promotion of Wastelands Development (a government-initiated NGO) helped to reform government rules regarding JFM in several states to make them more equitable and democratic, especially with respect to women's rights (see Jeffery and Sundar 1999).

On the other hand, there is the case of an NGO in Andhra Pradesh in the animal husbandry sector that systematically misappropriated funds for several years, while the Delhi office of their foreign donors turned a blind eye to this for fear of attracting adverse publicity.

State corruption and NGO complicity had a field day in the Council for Advancement of People's Action and Rural Technology (CAPART), the government body set up to fund grassroots NGOs, where funds were disbursed and later evaluations. There are several instances of NGOs being started by bureaucrats (retired or in service), academics and politicians - sometimes for sincere contributions to social development, and often as a conduit for receiving funds with scant work to show for them. Given the cross-over of the personnel between the state and NGOs, the contrast between their institutional structures and ideologies may well be overdrawn.

As with other agencies, the cases of outstanding success in the NGO sector are few and far between. Whenever a case is perceived as successful, there is an attempt to replicate it elsewhere: for instance, the SEWA in Gujarat was persuaded to start branches in other states. One has to find out if these efforts succeeded as much as the original. The co-operative dairy complex represented by Amul at Anand in Gujarat is another famous example. From 1970 to 1995, there was a huge programme called 'Operation Flood', funded by the European Union and World Bank to replicate the Anand pattern all over the country. It did not work (see Baviskar 1999). Impressed by the success and vitality of sugar co-operatives in Maharashtra, the central government encouraged similar projects in other states. Most of them failed. Inspired by the outstanding success of Anna Hazare bringing about all-round development at Ralegan Siddhi in Maharashtra, the state government persuaded him to accept the chairmanship of committee to replicate the experiment all over the state. The committee was to select one village from each taluka and thus, create about 300 Ralegan Siddhis across the state. He was given the necessary financial and other support. However, the political parties had their own agendas. Their representatives, such as the MLAs and others, pulled in different directions. The state bureaucracy was lukewarm in its support since it resented Hazare's critical stance towards it. Hazare had to give up the mission when he encountered the problems of replication under state patronage. He is much more chastened after this experience. The issue of replicability is

linked to the question of scale. How adequate are NGOs when they attempt to substitute for the state and take on tasks that, in order to make any kind of dent in terms of social problems, must be conceived on a nation – wide or state- wide scale?

Whereas many NGOs espouse democratic decentralisation, the working of their own organisation is often idiosyncratic, with authority being vested in one charismatic figure who started the NGO. Structures for the redressal of employee grievances, mandatory in most formal organisations, are often absent in NGOs where personalised management practices tend to prevail over more impersonal rule-based procedures. This contradiction has been the source of conflict in at least two well-known cases, where worker were forced to leave the organisation at the behest of the founders. Whereas state structures are at least formally rule governed, the same is not true of NGOs where the spirit of voluntarism is sometimes used to obscure exploitation and manipulation.

NGOs often seem to indulge in double standards. When criticizing state structures, they plead for openness, transparency and democratic participation. However, many of them do not seem to observe these norms in their own functioning. Crucial decisions are often taken at the top by the senior leaders without any scope for ordinary workers to participate in decision- making deliberations. The leaders are most reluctant to openly discuss the matters relating to funding. They talk enthusiastically about the current and future programmes but not about the sources and quantum of funding. That is why, when Bunker Roy of the Social Work and Research Center (SWRC), Tilonia announced open scrutiny of the finances of his organisation, it made headlines. He offered to open the accounts in a public meeting and answer any questions relating to them. No other NGO has come forward with a similar offer. Similarly, Roy sparked off controversy by suggesting a code of conduct for NGOs. His move was strongly opposed in several quarters. It was considered to be an attack on the freedom of NGOs and an attempt to control them through regimentation.

Check Your Progress 2

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1) Give one criticism about the functioning of NGOs.

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Many NGOs find it hard to resolve the problem of succession and routinisation. Having been set up with the initiative of some dynamic and charismatic leader who inspires a following and support, the organisation finds it difficult to continue once the leader is removed from the scene. It may lose its old élan and spirit. Routinisation with impersonal rules and regulations has the same effect.

It is now recognised that development requires not only the 'hardware' of investment in physical infrastructure, but also the 'software' of developing human capabilities. Without capacity building for managing institution, learning legal-rational procedures for decision-making and accounting, raising questions and suggesting alternatives, development will not be socially sustainable. NGOs have been entrusted with the task of developing this 'software'. This raises problems of its own. By and large, NGOs that receive external funds are expected to fulfil physical and financial targets, show tangible results (how much money spent, how many trees planted, how many people trained, etc.), but without regard to the quality of the output. Often, the expected output is hard to measure since it is difficult to come up with quantifiable indicators of empowerment. After thousands of training workshops and orientation tours have been held, it is still not clear at the end of the day exactly how the cause of development has been served. Yet, the pressing need to meet physical targets (the requirement of bureaucratic accounting practices) often forces NGOs to take shortcuts so that the more gradual and open-ended process of empowerment is compromised.

While NGOs are often critical of politicians and bureaucracy for misusing and misappropriating public money earmarked for development, the NGO record is not so exemplary. Recently it was reported that NGOs have not submitted grants utilisation certificates amounting to several crores of rupees. They have been warned that no further grants will be released till they submit utilisation certificates.

The economy and efficiency claimed on behalf of NGOs is only relatively superior. When the late Prime Minister Rajiv Gandhi revealed that less than 15 per cent of the total money spent by the government on development programmes reached the targeted beneficiaries, there was a wave of shock and surprise. According to some calculations, this proportion may be 20 percent in the case of NGOs, which also spend substantial amounts on their own salaries and infrastructure. The difference in terms of benefits to the poor may not be so great after all (Ramachandran 1998:170).

The issue of accountability is also raised by the dependence of NGOs on external sources of funding. Ever since the issue of foreign funding was raised by the CPI (M)-leader Prakash Karat (1984), characterising it as an imperialist strategy of penetration into neo-colonial setting, the debate crops up again and again. Opinion is sharply divided among NGOs themselves on these issues. While Bunker Roy is willing to accept a ban on foreign funding, many others are vehemently opposed to it.

Before the last general elections, several highly respected NGOs, such as the Indian Social Institute and Ankur, were asked by the government to show cause why their FCRA (permits under Foreign Contributions Regulation Act) should not be cancelled because they had supported an anti-communal advertising campaign. Any overtly political NGO activity that seems to threaten the status quo may thus be attacked by the state or by a political party. Moreover the issue of funding gives the state a convenient leverage over NGOs.

Conflicts among NGO, donor, state and grassroots agendas and understandings are also exemplified in the recent controversy over 'Sahayog', and NGO in the UP hills that produced a booklet about AIDS and reproductive health using 'explicit' language. This NGO, led by urban-educated upper-class activists and

funded by the MacArthur Foundation, ran afoul of local sentiments as mobilised by the Bharatiya Janata Party activist. This controversy shows also that the issue of representation (whose concerns do NGOs voice?) needs to be examined more carefully. The belief that NGOs represent the view of vulnerable social groups, or are sympathetic and empathetic towards them, a belief that has been used to justify the greater reliance on NGOs for development, needs closer scrutiny.

8.6 LET US SUM UP

NGOs have been around for quite some time and they are likely to remain with us in the foreseeable future. Systematic studies are required to say anything with confidence about them. In the absence of such studies, our understanding of NGOs will remain vague, superficial and hazy. Sociologists of organisations, political sociologists and sociologists of development all need to pay serious attention to them. Such a cumulative effort will enable us not only to understand NGOs but also their contribution to development and social change.

8.7 KEYWORDS

Good Governance: Good governance is an indeterminate term used in development literature to describe how public institutions conduct public affairs and manage public resources in order to guarantee the realisation of human rights. The concept of “good governance” often emerges as a model to compare ineffective economies or political bodies with viable economies and political bodies.

Participatory Management: Participatory management is the practice of empowering people and other stakeholders to participate in organisational decision making.

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8.9 QUESTIONS FOR REFLECTIONS AND PRACTICE

1. Explain the role of NGOs in Development process.
2. Critically evaluate the performance of NGOs.
3. Does the growing number of NGOs reflect the failure of state machinery?
4. Substantiate your arguments with suitable example.
5. Analyse the role of NGOs in women empowerment.

8.10 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress - 1

1. Just as there are many definitions of NGOs, there are several classifications too.

Ghanshyam Shah and H.R. Chaturvedi divide NGOs into three main categories: techno-managerial, reformist and radical. Indira Hirway classifies NGOs in Gujarat into welfare-oriented (including health and education) development organisation and empowering NGOs. Sudarshan Iyengar classifies NGOs in Gujarat into four categories: Gandhian, service delivery organisations, professional organisations and mobilisation organisations. D.C. Korten distinguishes three generations of NGOs: the first, committed to relief and welfare; a second, attending to small-scale, local development projects; and a third, consisting of community organisations interested in building coalitions. C. Elliot has outlined a similar typology of NGOs based on distinctions among charity, development and empowerment work.

Check Your Progress 2

1. NGOs often seem to indulge in double standards. When criticizing state structures, they plead for openness, transparency and democratic participation. However, many of them do not seem to observe these norms in their own functioning. Crucial decisions are often taken at the top by the senior leaders without any scope for ordinary workers to participate in decision-making deliberations. The leaders are most reluctant to openly discuss the matters relating to funding. They talk enthusiastically about the current and future programmes but not about the sources and quantum of funding.

UNIT 9 PANCHAYATI RAJ AND GRASS ROOT DEMOCRACY

Structure

- 9.0 Introduction
- 9.1 Learning outcomes
- 9.2 Historical Background
 - 9.2.1 Panchayats in Ancient Times
 - 9.2.2 Panchayati Raj System during Medieval Period
 - 9.2.3 Panchayati Raj System during British Period
- 9.3 Panchayati Raj System After Independence
- 9.4 Panchayati Raj System After 73rd Amendment
- 9.5 Key Features of 73rd Constitution Amendment
- 9.6 Panchayati Raj Institutions: Types and Functions
 - 9.6.1 Gram Panchayat
 - 9.6.2 Panchayat Samiti
 - 9.6.3 Zilla Parishad
 - 9.6.4 Twenty Nine Function of the PRIs as per Eleventh Schedule of the Constitution
- 9.7 The 74th Constitutional Amendment Act and ULBs
 - 9.7.1 Role of PRIs and ULBs in 73rd and 74th Amendment Act
 - 9.7.2 Salient Features of the Constitutional (74th Amendment) Act, 1992
- 9.8 Urban Local Bodies
- 9.9 Urban Local Bodies – Types and Functions
 - 9.9.1 The Municipal Corporation (Nagar Nigam)
 - 9.9.2 Municipality (Nagar Palika)
 - 9.9.3 City Council (Nagar Panchayat)
 - 9.9.4 Functions of Urban Local Bodies
- 9.10 Let Us Sum Up
- 9.11 References and Further Readings
- 9.12 Check Your Progress: Possible Answers

9.0 INTRODUCTION

Local government in India falls mainly under two categories: rural self government and urban self government. Local government in rural areas is enabled by the Panchayat system of governance involving Panchayati Raj Institutions (PRIs). There are about 3 million elected representatives in Panchayati Raj Institutions (PRIs), about one third of them women, and there are more than 640,000 village panchayats, about 6000 intermediate bodies and 500 district level bodies. Panchayats cover about 99.6% of India's rural population. The powers and functions of PRIs vary from state to state. The Panchayat system exists in all states except Nagaland, Meghalaya and Mizoram. Panchayat system is provided for all states having a population more than 2 million. Function of the panchayat include, planning and implementation of schemes for economic development and social justice relating to the 29 subjects in the indicative list.

Decentralisation has been major instrument for the extension of the democratic process at the grass root level and to involve the local communities in decision making in matters concerning their basic civic and other needs. Right from the beginning in 19th century, the local-self government institutions (panchayats and municipalities) in rural and urban areas have remained the main instruments of democratic decentralisation in India. The panchayat in rural India and municipalities in urban India are defined in the constitution as institutions of local-self government. The popular saying of ‘panch-pardhan’ from the ancient times connotes that the panchayat had deep roots in the Indian culture. After the 73rd Amendment to the Indian Constitution, Panchayate Raj system has come to occupy a pivotal place in the Indian democratic system. With this landmark amendment, the local governments have become the third-tier in federal system after the union and the states. However even after more than a decade of passing of the historic constitutional amendment, of 1992, the local governments have not been made effective in many states. Their function varies from state to state and in many states, devolution of functions, functionaries and funds to the local government has not taken place as envisaged in Part-IX and IXA of the Constitution. On the other hand, considerable progress has been made in the member states of European Union in effective decentralization of powers and functions to the communities at the local level. In fact, unlike in India there are no separate local level institutions are regional and area based, covering both urban and rural communities.

9.1 LEARNING OUTCOMES

After reading this unit you will be able to:

- Explain the historical background of local self government in India;
- Describe the evolution of Panchayati Raj in India;
- Explain the three tier Panchayat Raj Institutions and Urban Local Bodies; and
- Describe the essence of landmark 73rd and 74th Constitutional Amendment.

9.2 HISTORICAL BACKGROUND

9.2.1 Panchayats in Ancient Times

The panchayats in India have a long history, before earning a covered place in the Indian Constitution. The significance of the system had been chronicled during different periods of Indian history. It is not a flight of fancy, but the truth is that, ancient Indian history has provided evidence of the existence of village panchayats comprising five informally elected elderly members to settle dispute in the village. A reference to an organised system of rural local self-government (panchayat) has been found in ancient Vedic literature. Rig Veda has mentioned about ‘Gramini’, the village head employed by the king for civil and military purposes; while Atharva Veda envisaged the institution of ‘sabha’, ‘samiti’ babhapati and ‘sabkasad’ primarily performing judicial functions. A mention of village institutions had been made in the great epics, the Ramyana and the Mahabharat, where the gramini was responsible for collecting statue dues, keeping village records, settling disputes and controlling crime. Kautaliya’s Artha Shastra gives a comprehensive account of the system of village administration prevailing in ancient India. Besides, evidence of the village panchayats is also discerned in the Maurya and Chola dynasties and during the golden era of the Gupta period.

9.2.2 Panchayati Raj System during Medieval Period

With the coming of the Muslim rule in India, local institutions received a setback, as they did not enjoy the same autonomy and prestige, as under the Hindu kings. Mughal government was highly centralised, and the crown was the decision maker for the entire administrative machinery. Where ever the government is absolute, the supreme authority concentrated in one man's hand, the means of communications between the districts becomes slow and difficult, transfer of local officers becomes frequent and no political life or local initiative is left to the people. The muslim rulers recognised local chiefs and zamindars as the repositories of local authority, to the exclusion of the people. "The villages and towns of the Mughal Empire enjoyed parochial self-government rather than local autonomy. The office of Kotwal was developed as the keystone of the municipal.

While the Mughlas did not initiate any positive measures of encouragement to local institutions, wherever such institutions existed, they worked in co-operation with that: official machinery of the rules and in certain respects became a part of it. Between the breakdown of the Mughal Empire and the coming of the British, there was complete anarchy and military despotism in most parts of the country. During this intervening period the tier of social framework were loosened, and in many places, local institutions had been perverted or sapped, before the British officials had an opportunity to assess their value. The medieval period was comparatively an uneventful period in the history of panchayat system in India. The system was largely ineffective during Mughal rule, except during Akbar's reign, it appears that no other Mughal ruler assigned importance to the panchayats.

9.2.3 Panchayati Raj System during British Period

In the same vein, during the initial years of British rule, the autonomy of the panchayats gradually got diluted with the establishment of local civil courts, criminal courts, revenue and police administration. However the British rulers were well cognizant of the role played by self governing communities at the village level. Sir Charles Metcalfe, a British Governor in India during 1852 called panchayat as 'the little republic, but with some reservation because a caste ridden feudal system with power concentrated in the hands of a few landlords would be inconsistent with the sole mission of decentralisation. This is amply reflected in the East Indian Company Resolution of 1865 which said:"The people of this country are perfectly capable of administering their local affairs. The municipal feeling is deeply mooted in them. The village communities are the most abiding of Indian institutions. They maintained the framework of society while successive swarms of invaders swept over the country."

The initiative taken by the Viceroy, Lord Mayo, in 1870 although it was a resolution for decentralisation of power was aimed at improving administrative efficiency. In 1882 Lord Ripon resolved in favour of imparting political education to the people in general and rural people in particular. The Royal Commission on Decentralisation in 1907 recognised the importance of the panchayats at the village level, and recommended association of the people with the task of local administration. A few subsequent initiatives focused on decentralisation during British Raj are Montague Chelmsford Act, 1919; the Simon Commission report 1925 and Government of India Act, 1935. With these initiatives, by 1925 eight provinces had passed panchayat Acts and by 1926 six Indian princely states also

passed panchayat laws. By 1948, 20 other native states had village panchayat Acts.

When India was colonised, there occurred a sharp break from the tradition. The state system, after the advent of the British emerged as a highly centralised set up. Local institutions during the British period were more a creation of the government from whom they derived their autonomy rather than a process of spontaneous growth. No attempts were made to build up the system on indigenous foundations, although a good deal of indigenous taxation was retained in local finance. “The chungli of the muslim rulers, the Sikh dharat, and the rnuhtarafa of Maratha towns have a descendant in today’s systems. But from the structure and procedure of earlier local institutions, almost nothing has been incorporated into modern local government “The form adopted during the British rule was an admixture of the British and continental patterns. The history of local self - government in India under the British rule can be conveniently divided into four phases.” Local finance being a counterpart of local administration and its mainstay, has of course, been an expression of the purpose implicit in different phases of local government.” The first phase may be assumed to have ended in 1882, when Lord Ripon issued his well-known resolution on local self government.

The second phase covers developments from 1882 to 1919, when more powers were transferred from the centre to the provinces, and the recommendations of the Decentralisation Commission of 1907, besides discussing other matters, suggested some changes in local self-government. The third phase extended up to 1935, during which the Indian Taxation Enquiry Committee (1925) considered the problems of local taxation, along with central and provincial finances. The Simon Commission of 1930 reversed the process of decentralisation, by recommending strict control of the state over local bodies. The fourth phase covers developments up to 1947. During this phase, the struggle for independence was intensified and with the introduction of provincial autonomy in 1937, and coming into power of congress ministries in many provinces, local bodies, particularly village panchayats, received a great stimulus and there was democratisation of local bodies. But “local self-government became a mere annexe to the national political stadium, where the struggle for independence was moving towards its climax.” A rapid survey of local self-government and finances in India under the British rule reveals certain “well marked characteristics.” Independence opened a new chapter in socio-economic reforms, as embodied in the Directive Principles of State Policy, enunciated in the Constitution which established a federal system of public administration, provided universal adult franchise and the objective of welfare state. Article 40 of the Constitution lays down that the state would take steps to establish autonomous bodies in the form of village panchayats.

After reading this section, you will have gained an idea about the background of local self government in India. Now you should be able to answer the questions given in Check Your Progress I.

Check Your Progress 1

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1. Describe the existence of panchayat during ancient period.

2. Discuss the contribution of British rule to the panchayati system.

9.3 PANCHAYATI RAJ SYSTEM AFTER INDEPENDENCE

After independence, the process of empowering panchayats gathered momentum. Mahatma Gandhi, the father of the nation, while emphasising on 'Gram Swaraj (village autonomy)' strongly advocated that; 'Independence must begin at the bottom. Thus every village was expected to be a republic of panchayat having full power.' The spirit and importance of panchayati raj system found place in Article 40 of the Directive Principles of State Policy of the Constitution of India, which says: "The state shall take steps to organise village panchayats and endow them with such powers and authority as may necessary to enable them to function as units of self-government".

The first Prime Minister of India, Jawaharlal Nehru, considered panchayats as an important socio-economic and political institution at the village level. While inaugurating the panchayati raj in Rajasthan in 1959, he underlined the importance of people taking responsibilities: "To uplift millions of villages is not an ordinary task; the reason for the slow progress is our dependence on official machinery. An officer is probably necessary because he is an expert. But this can be done only if the people take up the responsibility in their own hands. The people are not merely to be consulted, but effective power has to be entrusted to them".

The then Rural Development Minister Shri S. K. Dey, had stated, that "In Panchayati Raj System, the people of India would govern themselves through their representative institutions, from the Parliament and thus democracy would travel from Gram Sabha (village parliament) to Lok Sabha (Lower House of the National Parliament)". Former Prime Minister Rajiv Gandhi, while emphasising on the significance of panchayats had remarked. "We must put an end to planning from above. We must put an end to priorities being conceived and decided at ethereal heights, far from ground realities". While delineating a few functions of the local self-government, Jawaharlal Nehru, advocated that "The panchayati raj bodies should assume the responsibilities of looking after the needs of everyone in the village and thus become an insurance against illness, unemployment, illiteracy and other disabilities".

The First Five Year Plan also recognised the need for disaggregated planning through a process of democratic decentralisation in incorporating the idea of a village plan and a district development council. The Government of India constituted several committees at different points of time to strengthen the local self- government institutions. The first one was the Balwantray Mehta Committee constituted in 1957, which recommended the urgency of democratic and elected institution at the lowest level and suggested a three-tier system. After this, Ashok Mehta Committee (1977) recommended a two-tier set-up at district and village level. The Sarkaria Commission on Centre-State relations appointed in 1983 recommended in its report that the objective of decentralised planning cannot be achieved unless panchayats play a major role of development and administration at village level. Instead of playing their role, ironically, these institutions have been allowed to stagnate. Elections to these bodies had not been held regularly and often they remain superseded for a long period. The Sarkaria Commission recommended that it was necessary to hold elections regularly and adequate funds devolved to these institutions. The G.V.K. Rao committee, in 1985, emphasised the need for regular elections to panchayati raj institutions (PRIs). A committee headed by P.K. Thungan, in 1986 recommended that panchayati raj bodies should be constitutionally recognized, and should have provision for timely and regular elections and their term should be for a period of five years. While the L.M. Singhvi Committee of 1987 recommended that the PRIs should get constitutional safeguards and financial resources should be devolved to them.

Since the beginning of the VI five year plan, a number of special programmes for poverty alleviation, employment generation and area development were launched in the country. At this stage, block level was considered important to implement rural development programmes through fuller utilization of local resources. In November 1977, a Working Group under the Chairmanship of M.L. Dantwala was appointed by the Government of India, to draw up guidelines for block level planning. At the same time, in December, 1977, a Committee on Panchayati Raj, headed by Ashok Mehta was also appointed. The Committee considered inadequacy of resources, mainly responsible for failure of PRIs and, therefore, recommended, inter alia, measures for strengthening the financial resources of PRIs. In the light of recommendations of the Committee, gradually PRIs were set up in almost all the states and were contemplated to be developed as instruments of development. Where as in Maharashtra and Gujrat, power was vested in district panchayats, in Madhya Pradesh and some other states, the responsibility for development was entrusted to the blocks. Another committee headed by Prof. C.H. Hanumantha Rao (1984) went into the questions of evolving methodology for district level planning and recommended that planning process at the district level should be sufficiently decentralised, having a good deal of autonomy, administrative and technical capability and financial adequacy.

The above discussion shows that there has been no dearth of ideas and expert opinion but what lacked was consistency in thinking and political will to implement the concept of decentralised planning and development in a multi-level framework, and create PRIs in that framework which are democratic, autonomous, financially strong, capable of formulating and implementing plans for their respective areas and provide decentralised administration to the people. Elections were not held regularly in a large number of states. Even after three decades since the Balwant Rai Mehta Committee had recommended 3-tier panchayati raj system as a form of rural self-government and as a mechanism for

democratic decentralisation, in most of the states, the position regarding PRIs remained unsatisfactory and no tangible action was taken to strengthen the local self-government system. Financially these bodies were weak and dependent largely on state governments which did not follow any consistent policies, with the result that most of the PRIs remained defunct or superseded.

The Constitutional Amendment Act, 1992, marked a water-shed in the history of local self-government in the country since it gave a constitutional mandate to the state governments to restructure and revamp rural local bodies in accordance with constitutional obligations. The Act provided for (i) the creation of three tier system of PRIs-gram panchayat at the village level, Janapud Panchayat at the block level and Zila Panchayat at the district level, with sufficient powers and functions contained in schedule XI of the Act; (ii) the creation of State Election Commission to ensure free, fair and timely elections after the expiry of every 5 years, and (iii) the creation of State Finance Commission after every 5 years to recommend devolution of financial resources from the state government to local bodies and also suggest measures for strengthening their financial position.

After reading this section, you will have gained an idea about the term, rural development. Now you should be able to answer the questions given in Check Your Progress 2.

Check Your Progress 2

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1. Describe the first five commission constituted by Government of India for strengthening of Panchayati Raj Institutions.

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9.4 PANCHATI RAJ SYSTEM AFTER 73rd AMENDMENT

The 73rd amendment of the Constitution is an epoch making event in the history of democratic decentralisation in India. While introducing the constitutional amendment bill in Parliament on December 1, 1992, the then Cabinet Minister of Rural Development had thus observed “This casts a duty on the centre as well as the states to establish and nourish the village panchayats so as to make them effective self-governing institutions and by introducing this Act, the government was fulfilling Mahatma Gandhi’s dream of Gram Swaraj.” As a result, 2, 32, 278 panchayats at village level; 6,022 panchayats at intermediate level and 535 panchayats at district level were constituted in the country. These panchayats are being manned by about 29.2 lakh elected representatives of panchayats at all levels. This is the broadest representative base that exists in any country of the world developed or underdeveloped. The main features of the Act are (i) a 3-tier system of Panchayati Raj for all States having population of over 20 lakh; (ii)

panchayat elections regularly every 5 years;(iii) reservation of seats for Scheduled Castes, Scheduled Tribes and women (not less than one-third of seats); (iv) appointment of State Finance Commission to make recommendations as regards the financial powers of the panchayats and (v) constitution of District Planning Committees to prepare development plans for the district as a whole. As per the Constitution (73rd Amendment) Act, the Panchayati Raj Institutions have been endowed with such powers and authority as may be necessary to function as institutions of self government and contains provisions of devolution of powers and responsibilities upon panchayats at the appropriate level with reference to:

- a. the preparation of plans for economic development and social justice; and
- b. the implementation of such schemes for economic development and social justice as may be entrusted to them.

India today has the world's largest functioning democracy at the grassroots, with 496 panchayats at the district level, known as district panchayats (DP)/ zilla parishad (ZP); 5905 at the intermediate level, known as block samitis/intermediate panchayat (IP); and 230762, at the village level known as gram panchayat (GP). These elected democratic institutions are manned by 3.4 million Scheduled Castes and 0.26 million Scheduled Tribes (Kurukshetra, 2002). In conformity with the Constitutional amendment, all the states have amended their state Acts by repealing the then existing ones. Today, the PRIs constitute the potential instruments for effective implementation of India's rural development and poverty alleviation programme. It is true that, if effectively empowered, the PRIs have the potential to build a progressive India (which veritably lives in its villages) in harmony with the felt needs and aspirations of the people.

The structure of the PRIs of a few Indian states is given in Table 1. It is interesting to note that in Kerala on an average one panchayat caters to the needs of 23,785 rural populations, whereas in Punjab one panchayat deals with 1289 rural population. Each panchayat in Kerala and in Karnataka consists of wards, which are looked after by ward members of the panchayat. The division of panchayat into wards thrusts responsibilities on the ward members to look after the needs of their ward population. This results in effective functioning of panchayat in Kerala and Karnataka.

Table 9.1: Structure of Panchayati Raj Institutions in a Few Indian States

State	Average rural population per gram panchayat	Average number of village per gram panchayat	Average number of gram panchayat per panchayat samities	Average number of panchayat samities per zila parishad
Gujarat	2294	1.3	73.1	-
Karnataka	6152	5.2	4.7	9.0
Kerala	23,785	1.4	-	-
Madhya Pradesh	2010	2.5	41.0	10.2
Maharashtra	1952	1.5	82.8	10.3
Punjab	1289	1.0	92.8	9.8

Sources: *As per census 2001.

** Panchayati Raj Institutions in India, Ministry of Rural Development, 1991

9.5 KEY FEATURES OF 73rd CONSTITUTIONAL AMENDMENT

The main feature of the 73rd Constitutional Amendment are: (i) Establishment of a three-tier structure: village panchayat (gram panchayat); intermediate panchayat (panchayat samiti) and district panchayat (zilla parishad); (ii) Regular elections every five years; (iii) Reservation of seats for the Scheduled Castes and Scheduled Tribes in proportion to their population; (iv) Not less than one-third reservation of seats for women at the three different levels of PRIs; (v) Establishment of State Finance Commissions to recommend measures to improve the finances of panchayats; (vi) Establishment of State Election Commissions to conduct election to the PRIs; (vii) Establishment of District Planning Committees to prepare development plans for the districts; (viii) Preparation of plans of economic development and social justice and implement 29 subject listed in the 11th Schedule of the Constitution; (ix) Establishment of grama sabhas (village assemblies) and their empowerment as a decision making body at the village level; and (x) Rotation in accordance with the reservation of seats for women and the Scheduled Castes in the PRIs. Their key features as envisaged in the 73rd constitutional amendment are given in Table 9.2.

S.No.	Key Features	Provision in the Act
1.	Three Tier Structure at the District Level	Article 243-B envisages, Gram Panchayat at village level, Intermediate Panchayat at the Block Level and Zilla Parishad at the district level.
2.	Elections at every five years	Article 243-E tells, Every Panchayat shall continue for five years from the date of its appointment.
3.	Reservation of seats for Scheduled Castes and Scheduled Tribes	Article 243-D envisages, reservation of seats for the Scheduled Caste and Scheduled Tribes in proportion to their population for membership of panchayat.
4.	Reservation of seats for women	Article 243-D (3), provides that not less than one for women third (including the number of seats reserved for women belonging to Scheduled Castes and Scheduled Tribe) of the total number of seats to be filled up by direct election in every panchayat shall be allotted by rotation to different constituencies in a panchayat.
5.	Establishment of State Finance Commissions	Article 243-I provides for constitution of States Finance Commission to review financial position of the PRIs and to make recommendations to the Governor and distribution between the state and the PRIs of the net proceeds of the taxes, duties, tolls and fees leviable by state.

6.	Establishment of State Election Commissions	Article 243-K provides for the establishment of State Election Commission. The Superintendence, direction and control of the preparation of electoral rolls for and the conduct of all elections to the panchayats shall be vested in the State Election Commission.
7.	Establishment of District Planning Committee (DPCs)	Article 243 ZD provides for the constitution of DPCs to consolidate the development plans prepared by the gram panchayat.
8.	29 Duties and responsibilities	Article 243(G) made addition of Eleventh Schedule and assigning duties and responsibilities on 29 subjects.
9.	Establishment of Gram Sabha	Article 243 provides for Gram Sabha to exercise such power and perform such function at the village level as the legislature of a State may be law provides.

With the enactment of 73rd constitutional amendment and formulation of Panchayati Raj Acts by different state governments, the State Election Commissions have been established, helping the state governments in holding periodic elections to PRIs. Almost all states have constituted State Finance Commission; despite the fact that their recommendations are being poorly implemented by many state governments. A large number of women, Scheduled Caste and Scheduled 'Tribe have been elected to these bodies and a tradition of justice and gender equality in political representation has been widely established (Table 9.3). Recently, the Bihar Government has declared 50 per cent of seats reserved for women in PRIs.

Table 9.3: Representation of Women, SCs, and STs in PRI and on 1.4.2004

PRIs	Scheduled Castes	Scheduled Tribes	Women
Gram Panchayati	346002	233765	838227
Intermediate Panchayat	22333	8210	47455
District Panchayat	2201	1322	4923
Total	370536	243297	890605

Source: website of Ministry of Panchayati Raj, Government of India

Thus, village-level democracy became a real prospect for India in 1992 with the 73rd amendment to the Constitution, which mandated that resources, responsibility and decision-making be devolved from central government to the lowest unit of the governance, the Gram Sabha or the village assembly. A three-tier structure of local self-government was envisaged under this amendment. The nationwide euphoria that greeted this about-turn in bureaucracy was seen again with the extension of the 73rd amendment to the Scheduled Areas, through Provisions of Panchayats Extension to Scheduled Areas Act, 1996 (here in after PESA or Central PESA or the Tribal Self Rule Law as it is variously called). Scheduled Areas are those, which are under the Fifth Schedule of the Constitution

of India where the tribal populations are predominant. It is also imperative to understand here that the founding fathers of the Constitution of India had envisaged a special scheme of administration in the scheduled areas where general laws would not be applicable unless the Governor deemed it fit to enforce such laws. It was thought that these areas are inhabited with people who have resided on the basis of their own customary practices and traditional beliefs and culture and thus general laws of the land would be inappropriate with their customary laws and ethos.

9.6 PANCHAYATI RAJ INSTITUTIONS: TYPES AND FUNCTIONS

Panchayati Raj Institutions comprise of three institutions namely gram panchayats, panchayat at samitis and zilla parishads, the constitution and functions of these three organisations are given below:

9.6.1 Gram Panchayat

A gram panchayat consists of a sarpanch and five to 13 elected panches depending upon the population, and are elected for a period of 5 years, and is elected by the Gram Sabha. The members of village panchayats are elected by the same Electoral College, which elects members of the Legislative Assembly of the state and the Lok Sabha (the lower house of Parliament). The State Election Commission prepares the election roll for PRIs elections. The Sarpanch or Chairperson is the head of the Gram Panchayat, and the Sarpanch and Deputy Sarpanch are usually elected directly by the people. The annual budget and development schemes for the village are placed before the Gram Sabha for consideration and approval. Gram Panchayats can be established in villages with a minimum population of 300, if individual villages have small populations, they can be grouped together to form a group-gram panchayat.

Functions of the Panchayat: Important functions of the gram panchayat include preparation of annual development plans, its budget; construction, repair and maintenance of community assets; khadi and village industries; rural housing; rural electrification; non-conventional sources of energy; poverty alleviation; education; public health and family welfare; adult and non-formal education; cultural activities, fairs and festivals; promoting agriculture, including animal husbandry; dairying and poultry; fisheries; social and farm forestry; women and child development; social welfare and public distribution system. The main source of income for panchayats is property tax, other sources include profession tax, taxes on pilgrimage (if applicable), animal trade etc. Besides this, the panchayats receive grants from the state government as well as Zilla Parishads.

9.6.2 Panchayat Samiti

The panchayat at the intermediate level is known as Panchayat Samiti. It works at the Tehsil or Taluka level, also known as Development Block. The Panchayat Samiti acts as the link between the gram panchayat and the district administration. The Panchayat Samiti is also known as Mandal Parishad, Taluka Panchayat, Mandal Panchayat. The main source of income of the Samiti is grants and loans from the state government. There is a panchayat samiti in each development block, a compact development area. Its membership comprises: 15 to 25 directly

elected members from territorial constituencies. The Panchayat Samiti is composed four types of members, the Ex-officio members: all sarpanch has of the Development Block, the MPs and MLAs of the area and Sub-Divisional Officer (SDO), Co opted members: representatives of SC/STs and women, associate members: one farmer, one representative of cooperative societies and one representative of marketing services, and elected members. The samiti is elected for a period of 5 years, there is a Chairman and a Deputy Chairman, and there is an officer in charge for every department of the Samiti including administration, finance, public works, agriculture etc.

Functions of the Panchayat Samiti: The important functions are agricultural improvement, land improvement, establishment of primary health centres and primary schools, supply of drinking water, sanitation, and construction/repair of roads, establishment of cooperative societies, and establishment of youth organisations, irrigation and water management and promotion of animal husbandry and dairying and poultry, fisheries, social services, social welfare, technical training, poverty alleviation and rural electrification, and development of cottage and small scale industries.

9.6.3 Zilla Parishad

Every district has a zilla parishad, having jurisdiction over the entire district excluding the areas included in a municipality or a cantonment board. Sources of income of Zilla Parishad are from the taxes on water, pilgrimage, markets etc, money from the state government for works and schemes assigned to the Parishad, and fixed grant from the state government in proportion to the land revenue. The Additional Deputy Commissioner (Development) of the district is the ex-officio Chief Executive Officer of the zilla parishad. The other members of the zilla parishad are:

- Directly elected from demarcated constituencies;
- All chairpersons of panchayat samities;
- Members of Parliament/Member of Legislative Assemblies whose constituencies fall in the jurisdiction and geographical area of the zilla parishad;
- The members of the Zilla Parishad are Chairmen of the Panchayat Samitis fallings under the area, they serve for a period of 5 years;
- Zilla Parishads have min 50 and maximum 75 members;
- Seats are reserved for SC/STs, backward classes and women.

Function of the Zilla Parishad: The functions include planning and execution of development projects for the district, provide essential services and facilities to the rural population, agriculture projects such as supply of seeds, irrigation, new techniques of farming etc, ground water resources and watershed development; horticulture; Statstics; rural electrification; distribution of essential commodities; soil conservation; animal husbandry and dairying; fisheries; small-scale industries including food processing industries; rural roads; health and hygiene; rural housing; education projects such as setting up and running of schools, adult literacy, running libraries, establish primary health centres, hospitals, mobile health centres, carry out vaccination drives and family welfare campaigns, construct/repair bridges and roads, development plans for SC/STs,

hostels for SC students, ashramashalas for adivasis, encourage entrepreneurship in small scale industries such as handicrafts, dairy farms etc.

9.6.4 Twenty Nine (29) Functions of the PRIs as per Eleventh Schedule of the Constitution

The 29 functions and responsibilities given to the PRIs, under the 11th Schedule of the Constitution of India are listed below:

1. Agriculture, including Agricultural Extension Agriculture,
2. Land Improvement, Implementation of Land Reforms, Land Consolidation and Soil Conservation
3. Minor Irrigation, Water Management and Watershed Development
4. Animal Husbandry, Dairying and Poultry
5. Fisheries
6. Social Forestry and Farm Forestry
7. Minor Forest Produce
8. Small Scale Industries, including Food Processing Industries
9. Khadi, Village and Cottage Industries
10. Rural Housing
11. Drinking Water Water Supply and Sanitation
12. Fuel and Fodder
13. Roads, Culverts Bridges, Ferries, Waterways and Other Means of Communication
14. Rural Electrification, including Distribution of Electricity
15. Non-conventional Energy Sources
16. Poverty Alleviation Programme
17. Education, including Primary and Secondary Schools
18. Technical Training and Vocational Education
19. Adult and Non-formal Education
20. Libraries
21. Cultural Activities
22. Markets and Fairs
23. Health and Sanitation
24. Family Welfare
25. Women and Child Development
26. Social Welfare, including Welfare of the Handicapped and Mentally Retarded
27. Welfare of the Weaker Sections, Scheduled Castes and the Scheduled Tribes
28. Public Distribution System
29. Maintenance of Community Assets

In order to ensure that Panchayati Raj Institutions function as instruments of local government, it is important that their functional and financial autonomy is guaranteed and transparency in their functioning is ensured, and this has to be accomplished in most of the states. The role of the Gram Sabha is, perhaps, the most important in ensuring the success of Panchayati Raj Institutions at the village level. The role of local people in conducting social audit and fixing responsibility on panchayat functionaries will be effectively ensured with Gram Sabha becoming active. It is essential that the village community perceives meetings of the Gram Sabha as useful. The most important factor for that is the empowerment of the Gram Sabha. Another important factor for the success of the Panchayati Raj system is the need for transparency in the functioning of these bodies. Panchayats being closer to the people, their right to information and accessibility to the panchayats must be ensured.

9.7 THE 74TH CONSTITUTIONAL AMENDMENT ACT AND ULBs

The 1992 Act provided for the Twelfth Schedule which listed the functions of urban local bodies, along with their planning, regulation and development powers. It made provision for ward committees in areas exceeding 300,000 and the specification of the powers and responsibilities of municipal units and the ward committees. There is a requirement made therein for the holding of timely periodical elections and for the reconstitution of a municipal government within six months. Sources of municipal finance and their periodic review by a statutorily constituted State Finance Commission were also provided by the Act, which also made it obligatory for the Central Finance Commission to recommend steps to support state resources for the assistance of municipal governments. The Act also provided for reservation of one-third of the seats for women and scheduled castes in municipal bodies. State Governments were to adopt the 74th Constitutional Amendment Act with reference to their respective municipal bodies to affect its purpose within their jurisdictions.

9.7.1 Role of PRIs and ULBs in 73rd and 74th Amendment Act

In order to impart certainty, continuity and strength to the Panchayat Raj Institutions (PRIs) and Urban Local Bodies (ULBs), the 73rd and 74th Amendments have come into force in 1993. These amendments of the Constitution of India, provided for empowerment of Panchayats and Nagarapalikas by way of reserving 33% seats for women; and for the citizens belonging to the Scheduled Castes and the Scheduled Tribes in proportion to their population. Articles 243G & 243W and 11th & 12th Schedules of the Constitution indicate the subjects to be devolved to the Panchayats and Nagarapalikas respectively. While the Eleventh Schedule of Constitution deals with evolution of functions to different tiers of Panchayats in respect to twenty nine subjects including education-primary and secondary schools, Article 243W of the Constitution of India, specifies the powers, authority and responsibilities with respect to Municipalities. The 18 major functions to be performed by Municipalities are mentioned in Article 243W of the Constitution of India.

9.7.2 Salient Features of the Constitutional (74th Amendment) Act, 1992

Salient Features of the Constitutional (74th Amendment) Act, 1992 with regard to ULBs are summarised as:

Continuity: CAA has ensured continuity of the municipalities with five years duration for an elected municipality and re-election of municipalities before the expiry of the five-year term or within six months of their dissolution.

Three-tier system: A uniform structure of three tiers municipal corporations for large urban areas, municipal councils for small urban areas and nagar panchayats for transitional areas has been provided. The constitution and composition of the municipalities has been left to the wisdom of the state, subject to all seats being filled by elected persons from the respective municipal constituencies.

Reservation of seats: In every municipality, reservation of seats for the Scheduled Castes/Scheduled Tribes (SCs/STs) has been provided in the CAA on the basis of proportional representation. Such seats may be allotted by rotation to different constituencies in a municipality and not less than one-third of the seats so reserved are further reserved for woman belonging to the SCs/STs. And also, not less than one-third of the total number of seats in a municipality are reserved for women and such seats may be allotted by rotation by different constituencies in a municipality.

Power, authority and functions: The CAA has provided for states to endow municipal powers and authority to enable them to function as institutions of self-governance. The municipal functions envisaged under Article 243W are of development nature. The performance of functions and implementation of schemes including those in relation to matters delegated through the Twelfth Schedule may be entrusted to the ULBs.

Constitution of Ward Committees: The CAA makes it mandatory to constitute ward committees in municipalities with a population of over 3 lakh with representation of women, SCs/STs and citizens' groups. The major objective of constituting the ward committees is to bring governance closer to the people and enhance their participation in local affairs including those listed in the Twelfth Schedule.

Constitution of District Planning Committees: The CAA provides for the constitution of the DPCs with representation of elected local representatives to effect spatial and economic development by integrating rural and urban plans at the district level.

State Finance Commission: The CAA mandates the constitution of a State Finance Commission (SFC) every five years to strengthen the financial domain of the ULBs. The Commission reviews the financial position of the urban bodies, their revenue and capital account requirements, recommends devolution of taxes, charges, fees, toll, duties, shared revenues, inter-government transfer and grants from the state to the municipalities and suggests measures for the mobilisation of municipal resources.

State Election Commission: The CAA provides for the constitution of a state election commission (SEC) every five-year to regulate municipal elections. It is

a progressive step towards ensuring democratic process at the local level. The SEC has a mandate to oversee, direct and control the preparation of electoral rolls and conduct elections of municipalities. The SEC will also ensure that elections to municipalities dissolved by the state government are held within six months.

9.8 URBAN LOCAL BODIES

The urban population of India has increased in recent years at rapid rates. In 1961 about 79 million persons lived in urban areas of the country; by 1991, their number had increased to over 217 million, registering an increase of over 250 per cent in the last three decades. Almost all population projections indicate that India will enter the 21st century with an urban population of about 300 million, which will further increase to over 400 million in the year 2011 and 553 million in the year 2021. The trends of urbanisation in India are presented in Table 9.4. The municipal governance in India was first introduced in Madras in 1688. The Madras Municipal Corporation was the first municipal body in the Commonwealth outside the UK. The Bombay and Calcutta Corporations were established in 1726.

Table 9.4: Trends of Urbanization in India, 1951-2021

Census Year	Total population (in million)	Urban Population (million)	Parentage of Urban Population to total population	Decadal Urban Growth Rate(%)	Annual Compound Growth Rate	
					Total	Urban
1951	361.08	62.44	12.29	-	-	-
1961	439.23	78.93	17.97	26.41	1.98	2.37
1971	548.15	109.11	19.91	38.24	2.24	3.29
1981	683.32	159.46	23.34	46.15	2.23	3.87
1991	846.30	217.61	25.71	36.47	2.16	3.16
2001	1048.15	296.97	28.33	36.47	2.16	3.16
2011	1298.15	405.26	31.22	36.47	2.16	3.16
2021	1607.77	553.04	34.40	36.47	2.16	3.16

- Projected figures.

Source: NIUA Urban Statistics- Handbook 2000, National Institute of Urban Affairs, New Delhi, January

The urban local bodies look after the affairs of the development of urban areas. According to Census of India, 1991, there were 3255 Urban Local Bodies (ULBs) in the country; classified into four major categories of municipal corporations, municipalities (municipal council, municipal board, municipal committee), town area committee and notified area committees. The municipal corporations and municipalities were fully representative bodies, while the notified area committees and town area committees were either fully or partially nominated bodies.

- Excluding Cantonment Board (57) under the Ministry of Defence, Established by a separate Act of Parliament.

Based on the 74th Constitution Amendment Act, there are now only three types of ULBs: (i) Municipal Corporation (Nagar Nigam) (ii) Municipality (Nagar Palika) (iii) City Council (Nagar Panchayat). According to the Act, there needs to be a City Council for areas in transition from rural to urban, a Municipality for small urban areas and a Municipal Corporation for large urban areas. The functions and powers of ULBs vary from state to state. Now, there are three kinds of Urban Local Bodies in India (i) Municipal Corporation (ii) Municipal Councils and (iii) Nagar Panchayats, demarcated on the basis of population, revenue generation, area and economic importance as follows:

- i. **Municipal Corporation:** for a larger urban area with a population exceeding 50,000 and generating annual revenue exceeding Rs. 2 crores for the local administration and which has been declared to be a municipal area.
- ii. **Municipal Council:** for a smaller urban area (urban) with population exceeding 5000 and generating annual revenue exceeding Rs. 20 lakh for local administration.
- iii. **Nagar Panchayat:** for a Transitional Area with a population exceeding 2,000 and generating the revenue of Rs. 5, 00, 000 for local administration.

Most states have amended their municipal laws in conformity with the Constitution Amendment Act (CAA). However, variations are found in the definition of small and large urban areas, as well as in transitional areas. States like Tamil Nadu has used the income criteria, some using only population, and others sing additional criteria such as density and percentage of non-agricultural employment. The amended Municipal Act of Andhra Pradesh provide for all three types of municipal bodies, viz; Nagar Panchayats; Municipalities and Municipal Corporations. In addition to population criteria, the Andhra Act also follows density of population, percentage of employment in non-agricultural activities, etc.

9.9 URBAN LOCAL BODIES – TYPES AND FUNCTIONS

The first municipal mechanism created during British rule was the Municipal Corporation introduced in Madras (Chennai today) in 1688, which was followed by municipal corporations in Bombay (Mumbai today) and Calcutta (Kolkata today) by 1762. Subsequently, Lord Mayo's Resolution of 1870 called for the introduction of an elected President in the municipalities. The current form and structure of municipal bodies is based on Lord Ripon's Resolution on local self-government adopted in 1882. Since then the structure of municipal bodies has essentially remained the same, even though the urban areas multiplied along with their increasingly complex problems.

Statutory provision for creating a municipal unit was available in two forms.. First, by statute that provides for the establishment of a municipal authority, as for instance in the form taken in the case of the Bombay Municipal Corporation Act in 1888, the City of Nagpur Corporation Act of 1948 and the Delhi Municipal Corporation Act of 1957. The other route was through statutory provision empowering State Government creation. The Bombay Provincial Municipal

Corporations Act of 1949 and the Gujarat Municipalities Act of 1964 are both examples of the latter. Generally, these statutes confer significant control and supervisory powers on the state government. In this context, it can be said they were creation of state government.

Municipal election provisions in different states were not uniform. In some, arrangements for election are made by the state government; while in others Municipal Commissioners (executive officers) make the arrangements. Prior to the passage of the 1992 Act, urban local government was defined generally by the Municipal Corporations, Municipal Councils, Town Area Committees and Notified Area Committees. In this context, the Structure and composition of municipalities varied considerably, with wide differences in definition and structure between states. Hence, the 1992 Act attempted to instill some uniformity in the constitution of the municipal bodies by classifying them as Municipal Corporations for large urban areas, Municipal Councils for smaller urban areas and what are termed Nagar Panchayats, suburban government bodies.

Municipal governments in India have been in existence for many years. The first municipal corporation was created by a Royal Charter in Madras in 1688. In the present form and structure, the municipal bodies owe their existence to what is known as the Lord Ripon's Resolution adopted on May 18, 1882. According to Census of India, 1991, there are 3255 urban local bodies (ULBs) in the country, classified into four major categories of municipal corporations, municipalities (municipal council, municipal board, municipal committee), town area committee and notified area committees. The municipal corporations and municipalities are fully representative bodies, while the notified area committees and town area committees are either fully or partially nominated bodies. As per the Constitution (74th) Amendment Act of 1992 (CAA), the latter two categories of towns are to be designated as municipalities or Nagar Panchayat with elected bodies. Until the amendments in state municipal legislations, which were mostly made in 1994, municipal authorities were organised on the basis of the 'ultravirius' principle and the state governments were free to extend or control the functional sphere through executive decisions without an amendment to the legislative provisions.

9.9.1 The Municipal Corporation (Nagar Nigam)

This model is also known as the Commissioner system, taking its name from the role of the city administrator who is generally a state-appointed officer. In such a system the Mayor in the Municipal Corporation is usually chosen through indirect election by the councillors from among themselves for a term of one which is renewable. The Mayor generally lacks executive authority. This is due to the British roots of the system that remain from the time when the administrator was the representative of the colonial power, not to the fact that it operates under a council-manager system (the subject of another article by this author on this website) whereby the executive would be accountable to the elected representatives. In this context, the indirect election of the Mayor combined with his short one-year tenure renders the role little more than that of a figure head. Councillors act by committee, the most powerful being the Standing Committee with its role of the steering committee exercising executive, supervisory, financial and personnel powers. It is composed of elected members varying in number between seven and sixteen through a system of proportional representation of councillors.

The executive arm of the corporation is the Municipal Commissioner, who is the chief Executive Officer and head of the executive arm of the Municipal Corporation. All executive powers are vested in the Municipal Commissioner.

Although the Municipal Corporation is the legislative body that lays down policies for the governance of the city, it is the Commissioner who is responsible for the execution of the policies. The Commissioner is appointed for a fixed term as defined by state statute. The Commissioner's term in office can be extended or reduced. The powers of the Commissioner are those provided by statute and those delegated by the Corporation or the Standing Committee. This is the closest that India has come to the council-manager system, with the critical difference of accountability of the manager to the elected arm of government; and the fact that the power of the unelected executive arm of government is thus weighted in its favour.

Municipal Corporations are established in cities with population greater than 1 million. The Municipal Corporations function under the provisions of the Corporation Act 1835, the Corporations are elected directly by the people. Elected members serve a term of 5 years. Municipal Corporations provide necessary community services such as health care, educational centres etc. It also interact directly with the state governments, the head of the Corporation is the Mayor. The principal executive officer is the Municipal Commissioner (an IAS Officer). The sources of income of Municipal Corporation are from (i) taxes on property, water, markets, entertainment, (ii) taxes on vehicles, and (iii) grants from the state government.

Functions of the Municipal Corporation: The important functions of the municipal corporations are urban planning and management, providing health services, establishment of primary health centres and primary schools, supply of drinking water, sanitation, and construction/repair of roads, street lighting, establishment of cooperative societies, and establishment of youth organizations, water management and waste disposal, social services, social welfare, technical training, poverty alleviation and electrification, providing fire records of birth and death.

9.9.2 Municipality (Nagar Palika)

Some of the important features of Municipality are as follows:

- A municipality administers an urban area of population 200,000 or less
- Municipalities interact with the state government through the Directorate of Municipalities or the District Collector
- Members of Municipalities are elected for a period of five years
- The head of the Municipality is the President, elected by and from the members
- The state government also appoints a Chief Officer and other officers such as Health Inspector, Sanitation Inspector, etc to assist the President
- Their sources of income and functions are similar to that of Municipal Corporations

9.9.3 City Council (Nagar Panchayat)

Some of the features of City Council are as follows:

- City Council administer urban areas having population greater than 30,000 and less than 100,000
- However, as an exception, all previous Town Area Committees (more than 5000 less than 20,000) have been reclassified as City Councils
- City Councils have a Chairman and ward members
- Ward members included elected members (min. 10) and nominated members (min. 3)

9.9.4 Functions of Urban Local Bodies

18 functions and responsibilities ensured to the ULBs under the 12th Schedule of the Constitution are as follows:

- Urban Planning including town planning Urban Development Authority
- Regulation of land use and construction of Buildings
- Planning for economic and social development
- Roads and Bridges
- Water supply for domestic, industrial and commercial purposes
- Public health, sanitation conservancy and solid waste management
- Fire Services
- Urban forestry, protection of the environment and promotion of ecological aspects.
- Safeguarding the interests of weaker sections of society, including the handicapped and mentally retarded
- Slum improvement and up gradation
- Urban poverty alleviation
- Provision of urban amenities and facilities such as parks, gardens and playgrounds
- Promotion of cultural, educational and aesthetic aspects.
- Burials and burial grounds, cremations, cremation grounds and electric crematoriums.
- Cattle ponds and preventions of cruelty to animals
- Vital statistics including registration of births and deaths
- Public amenities including street lighting, parking lots, bus-stops and public convenience
- Regulation of slaughterhouses and tanneries.

After reading this section, you will have gained an idea about the background of urban Local Bodies in India. Now you should be able to answer the questions given in Check Your Progress 3.

Check Your Progress 3

Note: 1) Use the space below for your answers.

2) Compare your answers with those given at the end of this Unit.

1. Describe the types of urban local bodies in India after 74th Constitutional Amendment.

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2. Discuss the functions of Municipal Corporations (Nagar Nigam).

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9.10 LET US SUM UP

The panchayat in rural India and municipalities in urban India are defined in the constitution as institutions of local-self government. The popular saying of 'panch-pardhan' from the ancient times connotes that the panchayat had deep roots in the Indian culture. After the 73rd Amendment to the Indian Constitution, Panchayate Raj System has come to occupy a pivotal place in the Indian democratic system. With this landmark amendment, the local governments have become the third-tier in federal system after the union and the states. Village level democracy became a real prospect for India in 1992 with the 73rd amendment to the Constitution, which mandated that resources, responsibility and decision-making be devolved from central government to the lowest unit of the governance, the Gram Sabha or the Village Assembly. A three-tier structure of local self-government was envisaged under this amendment. Based on the 74th Constitution Amendment Act, there are now only three types of ULBs: (i) Municipal Corporation (Nagar Nigam) (ii) Municipality (Nagar Palika) (iii) City Council (Nagar Panchayat). The functions and powers of ULBs vary from state to state.

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9.12 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress 1

1. Describe the existence of panchayat during ancient period.

Answer: Ancient Indian history has provided evidence of the existence of village *panchayats* comprising five informally elected elderly members to settle dispute in the village. A reference to an organized system of rural local self-government (*panchayat*) has been found in ancient Vedic literature. Rig Veda has mentioned about 'Gramini', the village head employed by the king for civil and military purposes; while Atharva Veda envisaged the institution of 'sabha', 'samiti', 'sabhapati' and 'sabhasad' primarily performing judicial functions. A mention of village institutions had been made in the great epics, the Ramyana and the Mahabharat, where the *gramini* was responsible for collecting statue dues, keeping village records, settling disputes and controlling crime. Kautaliya's *Artha Shastra* gives a comprehensive account of the system of village administration prevailing in ancient India.

2. Discuss the contribution of British rule to the panchayati system.

Answer:. The history of local self-government in India under the British rule can be conveniently divided into four phases. "Local finance being a counterpart of local administration and its mainstay, has of course, been an expression of the purpose implicit in different phases of local government."

The first phase may be assumed to have ended in 1882, when Lord Ripon issued his well-known resolution on local self government. The second phase covers developments from 1882 to 1919, when more powers were transferred from the centre to the provinces, and the recommendations of the Decentralisation Commission of 1907, besides discussing other matters, suggested some changes in local self-government. The third phase extended up to 1935, during which the Indian Taxation Enquiry Committee (1925) considered the problems of local taxation, along with central and provincial finances. The fourth phase covers developments up to 1947. During this phase, the struggle for independence was intensified and with the introduction of provincial autonomy in 1937, and coming into power of congress ministries in many provinces, local bodies, particularly village panchayats, received a great stimulus and there was democratisation of local bodies.

Check Your Progress 2

1. Describe the first five commissions constituted by Government of India for strengthening of Panchayati Raj Institutions?

Answer: The first five commissions constituted by Government of India for strengthening of Panchayati Raj Institutions are i) Balwantray Mehta Committee constituted in 1957 ii) Ashok Mehta Committee (1977) iii) The Sarkaria Commission on Centre-State relations appointed in (1983) iv) GVK. Rao committee (1985) v) P.K. Thungon (1986) and vi) L. M. Singhvi Committee (1987).

Check Your Progress 3

1. Describe the types of urban local bodies in India after 74th Constitutional Amendment.

Answer: Based on the 74th Constitution Amendment Act, there are now only three types of ULBs: (i) Municipal Corporation (Nagar Nigam) (ii) Municipality (Nagar Palika) (iii) City Council (Nagar Panchayat). According to the Act, there needs to be a City Council for areas in transition from rural to urban, a Municipality for small urban areas and a Municipal Corporation for large urban areas. The functions and powers of ULBs vary from state to state. Now, there are three kinds of Urban Local Bodies in India (i) **Municipal Corporation** (ii) Municipal Councils and (iii) Nagar Panchayats, demarcated on the basis of population, revenue generation, area and economic importance.

2. Discuss the functions of Municipal Corporation (Nagar Nigam)

Answer: The important functions of the municipal corporations are urban planning and management, providing health services, establishment of primary health centres and primary schools, supply of drinking water, sanitation, and construction/repair of roads, street lighting, establishment of cooperative societies, and establishment of youth organisations, water management and waste disposal, social services, social welfare, technical training, poverty alleviation and electrification, providing fire records of birth and death.